

# Hazard Analysis and Critical Control Points Certification Business Case and Implementation Plan

For Sprout Kitchen Food Hub and Business Incubator and for the City of Quesnel  
(HACCP Plan for Sprout Kitchen)



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## Prepared for:

City of Quesnel

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Attn: Amy Reid – Manager of Economic Development & Tourism

## EXECUTIVE SUMMARY

Sprout Kitchen Food Hub and Business Incubator opened in June 2021 providing shared-use commercial kitchen space rental, equipment rental, consulting services, training/business incubator programs, distribution service, economic development service, and workshops. As Sprout Kitchen's users are micro food businesses in scale, HACCP Certification was not a priority initially. As member businesses grow and diversify into larger markets, HACCP Certification is more likely to become relevant.

The City of Quesnel commissioned this Business Case and Implementation Plan Report to determine the steps for Sprout Kitchen to consider in order to accommodate member(s) who wish to operate within a HACCP accredited facility.

While Sprout Kitchen has revenue from memberships and member services, approximately 43% of its annual revenues are from grants and contributions. The goal is for Sprout Kitchen to be self-sustaining within five years. To do this, it is important to support those that are interested in accessing the centre and to help build partnerships/relationships with the broader agricultural community, agencies that buy food (restaurants and institutions), food security agencies, First Nations, and regionally specific commodity associations for initiatives that support the collective food security of the region, including meals-on-wheels, school lunches, wild game/meat products, and culinary/food processing skills training programs.

HACCP principles form the basis of a Food Safety Plan worldwide and is applied to processes throughout every stage of the food supply chain, including production, preparation, packaging and distribution. HACCP Plan and Certification is audited through Canadian Food Inspection Agency in compliance with *Safe Food for Canadians Regulations*.

The Consultants reviewed relevant documents supplied by City of Quesnel and Sprout Kitchen, and on April 25 and 26, 2023 conducted in-person discussions with Sprout Kitchen users, potential users, and community stakeholders. Key-point highlights from these discussions included:

- The community may already have a local HACCP consultant available to act in an advisory role.
- Typical of the agricultural community of Canada, local food entrepreneurs represent an aging population that may not want to expand their operations to a more value-add production and product.
- These entrepreneurs need to investigate opportunities to work with new or alternate growers and producers (we would like to note that attendees are willing to help support younger entrepreneurs and producers).
- Quesnel seems to have insufficient aggregate of available ag-food entrepreneurs needed to sustain the Sprout Kitchen on its own, however, if the Food Hub nurtures those entrepreneurs and engages community groups involved in food security, a more sustainable Food Hub is readily at hand.





- Sprout Kitchen may need to work with community groups to help create value-add food products through alternate community engagement such as a social enterprise initiative or community partnerships.
- The Quesnel food sector is closely connected with its agricultural communities.
- For value-add processing to access institutional buyers, processors need to demonstrate Food Security; having a HACCP Certification would go a long way.

Based on the community roundtable discussion, we would like to highlight that community agencies are very concerned about food security within the region. To help build capacity and synergy, these community agencies see the value of partnering with Sprout Kitchen and its resources, and are willing to work collaboratively on the development of potential opportunities for programming and supports within the sector.

On April 26<sup>th</sup> 2023, the HACCP Consultant conducted a pre-assessment HACCP inspection, evaluation and plan recommendation for the interior and exterior of the Sprout Kitchen facility. Of note, the HACCP Consultant complimented the management of Sprout Kitchen stating, “Your shared kitchen was in immaculate condition”. The Consultant’s HACCP Analysis Summary and supporting plan with recommendations detailed item-by-item observations, level of risk associated with each item and made several key recommendations. The inspection covered standard operating procedures (SOPs), policies & procedures, and potential development needs.

Based on this Analysis and Recommendations, the estimated capital and operating cost for these changes is \$723,500. In addition, the budget included an additional estimated cost for a HACCP Consultant to write or improve current SOPs and other documentation needed to support a HACCP application of \$25,000 plus \$10,000 for pre-audit site prep work and to be present to assist in the Audit process. The estimated total for HACCP certification is \$758,500.

Industry analysis shows that Federal and Provincial priorities support the Safe Food for Canadians Regulations and growing British Columbia’s economy through food security and food processing and food processing innovation. Opportunities for funding within the AG-food Sector is dynamic with significant funding opportunities to support funding Sprout Kitchen to a HACCP Certified facility.

Transitioning Sprout Kitchen to a HACCP Certified facility has its benefits, risks and costs.

- HACCP Certification garners respect in the food and beverage manufacturing industry and opens access to markets which require certification (i.e. Institutions, large grocery chains, intra-provincial and international sales).
- We recommend that the role of HACCP coordinator cannot be mixed with the role of the operating manager. These two functions do not go together.
- It is possible to have a non-HACCP accredited user access the space within a HACCP facility, however, all users must comply with the same level of operating procedures.
- Following the transition to a HACCP Certified facility, Sprout Kitchen may experience a loss of customers/users of the facility.
- Although this report identifies a budget estimate to help bring Sprout Kitchen up to a higher level of HACCP readiness, there is a possibility of overshooting the budget. The consultant(s) have identified ways to help manage budgets and obtain additional grants and contributions that offset investment costs to improve the overall operation, and to comply with a HACCP facility.



- Maintaining HACCP compliance issues with the users of the food hub may become untenable as not all users may want to work within a HACCP accredited facility and certainly none of the current micro-users are in a financial position to contribute significantly towards these improvements.
- As this building is not owned by the City of Quesnel or Sprout Kitchen Society, persistent issues within the building, users and owner(s) may jeopardize the HACCP accreditation.

The primary consultant would like to make the following recommendations:

***"I would recommend that Sprout Kitchen work towards becoming a fully certified HACCP accredited facility as this would benefit in the potential relationship with institutional buyers; serve to enhance any skills training offered at the Food Hub; and help potential users looking to grow their customer base. However, I would caution against passing along any of the costs associated with facility improvements and operations to the users. These are small start-ups with limited margins. Instead, I would recommend that Sprout Kitchen focus its efforts on identifying potential grants and contributions to help pay for these leasehold improvements. To place the burden of financing facility improvements on the users of the Sprout Kitchen, given they mostly consist of new ag-food entrepreneurs, would make access and usage of the facility unsustainable."***

The implementation plan towards HACCP Certification can start immediately and with appropriate funding, can be completed within one year with on-going improvements scheduled over the next five years as funding is available and market need increases.

The Consultants wish to sincerely thank Amy Reid of the City of Quesnel, Kate Patterson of Sprout Kitchen Regional Food Hub and Business Incubator for their support in providing information and insight of the food economy in Quesnel, and for organizing in-person discussions and surveys with stakeholders.

We also thank local businesses that participated in discussions and surveys. Their candid feedback is fully appreciated.

Sincerely,

Stephen Evans  
Pia Ritch  
Dan Sigfusson



## PROJECT BACKGROUND, OBJECTIVES, SCOPE

### Background

Sprout Kitchen Food Hub and Business Incubator (“Sprout Kitchen”) is part of the BC Food Hub Network. Sprout Kitchen opened in June 2021 with cold and freezer storage and basic processing equipment. Since then, additional equipment has been added, a co-packing service and workshops are offered, and a delivery service will be launching in summer 2023. At this time, the space is not eligible for Hazard Analysis and Critical Control Points (HACCP) Certification.

Sprout Kitchen operates primarily on a membership contribution and fee-for-service model. Varying levels of membership provide different numbers of hours of kitchen access, with full members also receiving access to all equipment included in their membership. Lower cost members pay a fee to access each piece of equipment. Non-members may also pay to access cold and freezer storage and the delivery service. Workshops held in Sprout Kitchen are open to community members.

During earlier planning phases for Sprout Kitchen, it was determined that, most local food businesses are micro in scale. While Sprout Kitchen aims to move businesses along the growth continuum, most prospective users of the space were scaling from occasional sales at small-scale business fairs to Farmers’ Market, or Farmers’ Market to local stores, rather than to national grocery chains. For this reason, HACCP Certification was not in the initial design and/or implementation plan.

As Sprout Kitchen grows in members, and those members grow their businesses, HACCP Certification is more likely to become relevant. This Business Case Report is to help prepare Sprout Kitchen to make necessary changes to accommodate member(s) who wish to operate with HACCP Certification and to eventually become a HACCP certified facility.

Sprout Kitchen currently handles all cleaning, waste removal, pest control, and maintenance of shared equipment. All members must have a business license and a food safety plan to operate in the facility, however private individuals may rent space and pay for equipment use without a food safety plan.

The City of Quesnel has administered all grant funding for this project. Sprout Kitchen Society holds an operating agreement with the City of Quesnel to manage the facility. Sprout Kitchen Society board and staff will provide input on this project.

Financial projections indicate that Sprout Kitchen will become financially sustainable within the first five years of operations. Sprout Kitchen currently relies on operational support through grant funding, though additional revenue streams and installation of additional equipment to attract more members are planned.

The City of Quesnel has received with funding from the Province of British Columbia to develop Sprout Kitchen and to create this HACCP certification plan. According to the funding agreement, the project outcomes are:

1. Growth of the food processing sector and regional Ag-food sector to be a significant contributor to the local economy.



2. Improved sales and economic success of local food producers and processors.
3. Increased availability of, awareness of and access to resources and services for the food processing sector and value-added activities in the region to support and grow the regional agriculture and food sector.
4. Increased applied research in food processing, new product development and commercialization, and innovation in the processing sector.
5. Direct links between private sector and academic institutions to support the applied research in benefit of the food processing sector in BC.
6. Increased regional food supply chain integration through increasing the potential for local processing connected to regional supply chains.

### Project Objectives:

We understood that the purpose of this project is to develop a business case and implementation plan to support the possible expansion of Sprout Kitchen Regional Food Hub as it may transition to a Hazard Analysis and Critical Control Point (HACCP) ready facility.

We also understood that the project will take a realistic milestone-based approach to implementation, rather than a set timeline, along with identifying costed steps to make Sprout Kitchen HACCP-aligned allowing businesses seeking HACCP certification to operate in the space.

### Consultant's Proposed Work Plan and Scope of Work:

We developed the work plan based on the information provided in the City of Quesnel Request for Proposals document.

The purpose of this project is to conduct research and consultations, obtain cost estimates and develop a Business Case and Implementation Plan to support the expansion of the Sprout Kitchen Food Hub to transition to a Hazard Analysis and Critical Control Point (HACCP) ready facility by:

- Taking a realistic milestone-based approach to implementation, rather than a set timeline, and
- Identifying a series of costed steps that can be taken to make Sprout Kitchen "HACCP aligned" allowing businesses seeking HACCP certification to operate in the space.

Additional anticipated steps of our approach include:

- Researching the prior business plan including any external scientific studies or research and identifying gaps and demands.
- Investigating external linkages with other partners including industry, academia and food champions.
- Completing a cost-benefit analysis of a HACCP-accredited facility including leasehold improvements, systems and processes.
- Understanding the Food Hub linkage to the local, national and international supply chain including food service, grocery, and further manufacturing.





- Reviewing the impact of converting to a HACCP-accredited facility including those currently accessing the shared-use space as well as identifying the potential demand for new users of a HACCP-accredited facility.
- Identifying possible innovation projects/opportunities between industry and academia; and
- Preparing a draft and final business case for a HACCP accredited Sprout Kitchen Food Hub and innovation centre.

The proposed Work Plan included:

1. Contract Meeting and Initial Planning (April 4 to 7, 2023). We will hold an initial client meeting with you to affirm the conditions of the agreement including a review of the terms and timing, obtain internal reports, information and sources of local community partners. The meeting can be held by Zoom online and can be scheduled with your designated Project Representative(s) during the week of April 4 to 7<sup>th</sup>, 2023.
  - We will need related documents for the Sprout Kitchen Food Hub and Small Business Incubator Centre which will help our development of the Business Case – including but not limited to: previous Feasibility Study for an Agricultural Centre, any previous business case for a Food Hub, Implementation Plan for Sprout Kitchen, Implementation Plan for a Regional Distribution Service, relative lease agreements, Marketing Plan, Strategic and Operations Plan, Sprout Kitchen's financial statements/proformas as they relate to sources of income and expenses, list of current and past Food Hub users/space utilization and a listing of their products.
  - We need background context on the people/producers/processors/ organizations to include in any discussions.
  - We will need a letter of introduction and an email/phone list of your key contacts.
  - The meeting will also assist in scheduling and planning industry and stakeholder input sessions.
2. Review Prior Business Plan and Studies (April 7 to 21, 2023). We will review the feasibility study background and other project-related reports for findings and strategic directions which will help define the Business Case for HACCP Certification and Implementation Plan. We will need these reports from you by April 7<sup>th</sup>, 2023.
3. Project Consultation and Input Meetings (April 11 to 13, 2023). We will need your help to coordinate and conduct three stakeholder/industry meetings in Quesnel. The meetings will help inform us to develop an Environmental Scan and Needs Assessment on the gaps, research interest and possible funding ideas. We will set an agenda for exploring several topics in a directed manner. Topics may include services and needs for HACCP-ready space, short and longer term priorities, regional gaps in the local food sector and barriers, and possible funders.

Each of the consultation meetings will be approximately three hours and include 8 to 10 participants. We need help encouraging local participants to attend these consultation sessions. Community Consultation #1 will be for current users of the Food Hub; Community Consultation #2 will be for potential HACCP users of the Food Hub, and Community Consultation #3 will be City staff, Board of Directors of Sprout Kitchen Society, Academia, and other identified stakeholders.



At this time, we will also launch a survey to key stakeholders not able to attend the in-person consultation meetings, or others you can identify for us (and may include possible collaborators/funders).

Two team members will spend three days in the area conducting the industry input sessions and meetings. The third team member will devote his time conducting a preliminary site inspection and initial pre-audit assessment for a HACCP facility infrastructure, including policy/procedures and existing SOPs.

The outcome of this time in Quesnel will be a list of priorities and identification of any challenges for the region, comments on capacity, opportunities, and the needed focus. This task will highlight the potential food business interests in HACCP Certification for Sprout Kitchen Food Hub through a cost/benefit analysis.

4. Cost/Benefit Report (April 24 to 28, 2023). The Cost/Benefit analysis and report is critical as we need to understand the costs of bringing the facility up to a more HACCP Certified readiness status, the internal capacity and competencies of staff and leadership, and regional market demand. We will review all information from community consultation sessions, survey, consultant sessions, HACCP pre-assessment report and prior reports to assist in the development of a Cost/Benefit Analysis Report including providing paths to capital grants and contributions to help support the development of the Sprout Kitchen Food Hub.
5. Feedback on Cost/Benefit Report (April 28 to May 5, 2023). This report will be sent to the City of Quesnel's project representative(s) requesting feedback on initial budget estimate for HACCP Certification to determine if there is interest in continuing to pursue the current direction of the concept study or pivot to more focused investigation of alternative revenue streams and usage for the facility. The draft concept will need to be validated with your (committee) input.
6. HACCP Business Case and Implementation Plan – Draft (May 8 to 26, 2023). We will prepare the draft HACCP Business Case and Implementation Plan based on feedback on the decision from the Cost/Benefit Analysis Report. These drafts will be submitted to the City of Quesnel project representative(s) by May 26<sup>th</sup>, 2023.
7. HACCP Business Case and Implementation Plan – Client Feedback (May 27 to June 2, 2023). At your call, we will make ourselves available to communicate with client(s) to discuss feedback on the draft strategy and documents addressing requests for clarification in the documents.
8. HACCP Business Case and Implementation Plan - FINAL SUBMISSION (June 2 to 30, 2023). The final HACCP Business Case and Implementation Plan will be prepared, and the word document will be provided. Contents will include, as defined by the Scope of Work:
  - Executive Summary
  - Project objectives, scope, background
  - Food Hub description and services (physical, virtual), programming, assets, equipment, current clients, and partnerships
  - Current and future HACCP-certification needs analysis
  - HACCP consultant's outline for changes to SOPs, policies and procedures
  - Checklist of potential development needs to bring facility to HACCP ready



- Budget - Project costs and timing – estimated capital and operating costs, costs for HACCP enhancement for standard operating procedures, revenue generation potentials, possible relationships on equipment and costs, program and service options
- Cost/Benefit Analysis
- Industry analysis and potential funding sources/partnership opportunities – key regional players, the marketplace and value chain opportunities
- HACCP Certified marketing, human resource, governance, risks and mitigation and implementation plans with rationale
- Adjusted operations budget following each phase of implementation (as necessary)
- List of resources for additional certifications that potential users may pursue including HACCP; Food Safe; WHMIS; Serving it Right; HALAL; Kosher; SQF; Gluten Free; and Certified Organic
- Recommendations for risk and mitigation actions, rationale, and timing
- Sample Template Agreements for General Contractor – RFP and CCDC

9. Post-Project If needed we are prepared to help in the actualization of the Implementation Plan.

- Develop and execute RFP for Implementation Plan Contractors.
- Work with Contractors to propose a CCDC for review.
- Consult with Project Manager.
- Work with HACCP consultant to assist in the development of (pre-audit) HACCP manual.
- Help source funding for, and assist in the implementation of the plan.
- Lead a discussion on alternative uses and funding streams for the facility.

Time and Resources: Project timelines have been included in the Work Plan details above, with a start date of April 4, 2023, and final HACCP Certification Business Case and Implementation Plan submission to you for June 30, 2023.

The background literature and document resources required have been itemized in the *Contact Meeting and Initial Planning* section above. In addition to these resources, we would need either from the City of Quesnel or Sprout Kitchen Food Hub:

- Access to the Food Hub facility
- Access to a centralized Board room with Wi-Fi for the consultation sessions
- Support with local printing and marketing of the community consultation sessions
- Lists of local key contacts
- Support with promoting participation in the Consultation Sessions and Needs Assessment
- Provision of copies of any relative resources and information to support the outcomes of the study
- Reception and basic office administrative support

Role and expectations/contributions: This project needed timely and active collaboration between the client and the lead consultant. We requested that liaison and communication on this project be with a designated project representative from the City of Quesnel. We requested the active collaboration and active participation of Sprout Kitchen Food Hub Board of Directors and management staff. We also



appreciated the involvement of key stakeholders as participants in attending the Community Sessions for the environmental scan and for completion of the survey.

Rationale for this approach: Our approach was to review and compare current and potential opportunities at Sprout Kitchen Food Hub to other models in the Food Hub Network. We wanted to engage feedback from a broad range of stakeholders including HACCP and non-HACCP users to assess the viability of working towards accreditation as a HACCP facility versus identifying potential alternative development models within the region, thereby creating a more realistic milestones-based approach to this study. We also evaluated the region's need for HACCP by addressing the question of "Is this what they want and will they pay for it?"

We also expected that this consultative approach may identify opportunities for Sprout Kitchen Food Hub to provide enhanced service delivery on a revenue-generated model.

## FOOD HUB DESCRIPTION AND SERVICES, PROGRAMMING, ASSETS, EQUIPMENT, CURRENT CLIENTS, AND PARTNERSHIPS

The Consultants received documents and information from the City of Quesnel and Sprout Kitchen Food Hub. This summary is based on the information provided:

- City of Quesnel signed an agreement with Sprout Kitchen Society for it to operate the Sprout Kitchen Regional Food Hub and Incubation Centre – Term: March 25, 2021 to December 31, 2023 with the potential renewal for an additional 21 months.
- The initial cost of Capital Assets in 2021 is \$83,637 (based on 2022 Financial Statements).
- Sprout Kitchen has a "Use and Services" Agreement template for clients of the Food Hub.
- Sprout Kitchen has a "Sanitation Plan."
- Sprout Kitchen has a "Co-Packing Policy" agreement form.
- Sprout Kitchen has a "Getting Started" information form for clients.
- Sprout Kitchen has a "Client Information and 2022 Rate Sheet."
- Sprout Kitchen has a "Member Orientation Manual" dated July 2022
- Sprout Kitchen has a "Floor Plan" showing 2,627 sq. ft. dated Oct. 2020
- Sprout Kitchen has a "Distribution Plan."

### Food Hub Services:

In partnership with other industry, academic institutions, and community organizations in the region, Sprout Kitchen Regional Food Hub plans to provide the following services:

- Consulting services – This includes providing general advice and contacts at no cost and connecting businesses to specialist advisors who can help with technical assistance, on site visits, mentoring and business development. This is in partnership with several regional organizations and businesses.
- Training and business incubator programs – In partnership with several regional organizations and businesses, the Sprout Kitchen will co-ordinate business workshops, technical workshops, food safe training, farm training, start-up business courses and incubator programs.



- Equipment and facility rentals – This is where the Sprout Kitchen, using a central booking system, rents out food processing equipment and facilities (kitchen space, storage space).
- Brokerage and online sales space – This service helps facilitate actual sales between buyers and producers or processors, both by providing an on-line sales platform as well as through direct brokerage transactions.
- Distribution service – This service overcomes the challenge of getting food products from the producer to the buyer by offering a third-party distribution service that travels across the region one or two days per week.
- Economic development service – In partnership with regional and municipal economic development offices, the Centre helps coordinate or deliver a regional economic development service to promote the local food economy, attract new producers, identify market opportunities, and possibly even create a regional brand for local producers.

### Programming:

The majority of the program development opportunities, as identified in previous business plans, was through fees generated through a series of local food training workshops. Although in 2022, the Food Hub had planned on generating \$ 3,000 in workshop fees, they only generated \$ 360 (generating only 12% of target). By the end of the first quarter of 2023, the Food hub planned on generating \$ 2,100 in workshop fees: and we are delighted to report that they reached \$ 1,870 in workshop fees (achieving 90% of the target). This year, projections by the Food Hub state that they would generate \$ 12,900 in workshop fees and we think this is possible.

Currently Sprout Kitchen offers workshops to help food processing entrepreneurs to start up their food business i.e. Developing Food Safety Plans, and Food Business 101. The line-up of business workshops could be expanded through partnering with external agencies.

Increased revenue generation in workshop delivery is due, in part, through partnership with a local master chef who delivers community-interest culinary workshops at Sprout Kitchen. Some of these workshop topics include:

- Summer Dinner Salads
- The Pie & Galette Class
- Hors d'oeuvres
- Kimchi Making
- Pizza & Focaccia
- Egg Decorating
- Pasta Making
- Mozzarella Making
- Tasty Vegetables



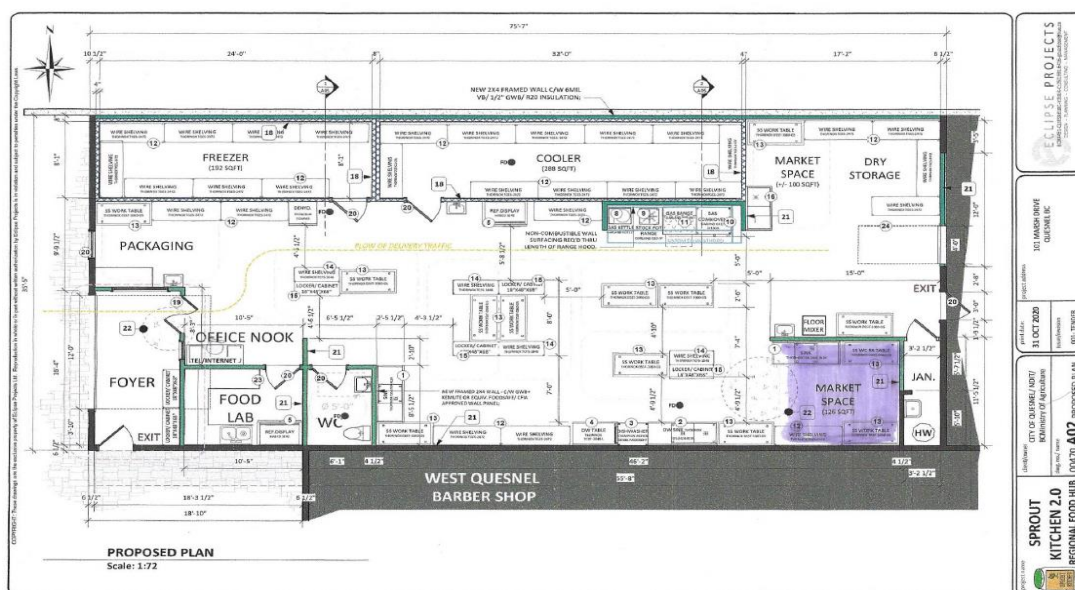


We did want to highlight a few opportunities which stood out for us related to programming and workshop training fees:

- There is a local asset (Judith) who has a background in food safety training programs and may be open to working with the Food Hub to generate additional program training opportunities and workshop fees.
- Community Futures seems very open to working with the Food Hub on possible training opportunities within the Food Hub and could generate additional opportunities to generate workshop fees, particularly as it relates to opportunities to overcome financial barriers associated with setting up and operating a food business.
- There are several Industry Associations, in particular Small-Scale Food Processors Association and the BC Food Hub Network who have existing and online training programs related to food. These training sessions are comprehensive and could be very helpful to food businesses particularly when wanting to create SOPs or start a HACCP plan. Sprout Kitchen could explore partnerships with both agencies to generate fees.
- And finally, there are opportunities to build food entrepreneurship training and food security work into Employment Assistance Services. Contact your local WorkBC and/or employment agency to explore how to offer and get paid for Short Term Occupational Training (STOC) training (special note, most STOC training is less than \$ 500 per participant and can be paid for through WorkBC).

## Assets:

Sprout kitchen is a fully equipped shared-use kitchen with both a large walk-in cooler and freezer. The facility has a large, gravelled parking lot and roll-up delivery door. The following is a map of the space and assets available at the facility:





## Equipment:

The following is a list of an assortment of standard food processing equipment available at the Food Hub:

1. Oven
2. Range
3. Low Range
4. Mixed
5. Dough Sheeter
6. Proofer
7. Title Kettle
8. Garlic Peeler
9. Freeze dryer
10. Dehydrator
11. An assortment of small wares and packaging

## Delivery Van

Sprout Kitchen owns a refrigerated delivery van and plans on offering a distribution services to serve the region from 100 Mile House to Vanderhoof. The distribution service will allow producers to ship ingredients to Sprout Kitchen for co-packing from around the region and will allow processors to ship their goods for sale throughout the region. Sprout Kitchen projections indicate that once fully operational, this service would be self-sustaining, and could provide a small revenue stream for Sprout Kitchen. The vehicle may also be used to deliver locally grown produce to stores, and to support and expand the food waste reduction initiative of CMHA.

The distribution service is expected to start in the summer of 2023.

## Current Clients and Partnerships:

### **Current clients and partnerships:**

Sprout Kitchen currently receives approximately 43% of its annual revenues from grants and contributions including:

- City of Quesnel
- Red Cross Funding
- Ministry of Agriculture
- REDIP Grant
- NDIT Marketing Grant

As mentioned in the programming/workshop section above, Sprout Kitchen partners with a Master Chef who provides community-based culinary workshops based on a per-person training cost.

Although the current user group is typical of most regional Food Hubs, we would like to identify that the opportunity to grow this demographic may be limited. As a rural community, with a relatively small population base well spread out, with plenty of available lands for ag-food development, it is important to address these limits and the opportunities they present. Because there are so few ag-food



entrepreneurs potentially interested in accessing a shared-use facility, it is important to really support those that are interested in accessing the Food Hub. Make every attempt to support every customer – they count. It is also important to recognize that Sprout Kitchen is the only Food Hub within the region and thus, users have limited options available. Therefore, it is important for both the Food Hub and its users to work together to build the best food hub for all involved.

### **Potential Partnerships:**

We believe, herein lies the difference between urban and rural food hub development processes. Unlike a lot of the urban food hubs, rural food hubs, such as Sprout Kitchen, are well connected to the local food scene. Rural food hubs have deep connections with the agricultural community, agencies that buy food (restaurants and institutions), food security agencies (which include food banks, shelters for women, etc.), First Nations, and regionally specific commodity associations or farming groups.

It is our belief that with the right approach, there is an opportunity to offer service delivery and socially engineered work programs to better assist local organizations and community efforts. Examples of these opportunities include partnering with the food hub to prepare lunches for a meals-on-wheels program; or to develop bottled stews made from locally butchered wild/game meat, and/or the development of a school lunch program using locally sourced ingredients (including fresh fruits and vegetables). Obviously, the approach must include an outside community agency or non-profit to drive the opportunity, but being open to working with community groups to access grants and contributions may help stimulate these opportunities more readily.

Due to limited shared-use commercial kitchen resources in the local community, Sprout Kitchen could partner with local college/university campuses, or Employment Assistance Service agencies, to help deliver more sophisticated culinary/food processing skills training programs, beyond the workshop level.

## **CURRENT AND FUTURE HACCP-CERTIFICATION NEEDS ANALYSIS**

### **What is HACCP?**

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HACCP is a management system designed to address food safety through the analysis and control of biological, chemical, and physical hazards, from raw material production, procurement and handling, to manufacturing, distribution and consumption of the finished product.

Hazard Analysis and Critical Control Point (HACCP) is **an internationally recognized, science-based food safety system based on preventing, eliminating and reducing hazards**. It is fundamentally different from an inspection-based system because it identifies and addresses hazards before they emerge.

### **What are the seven principles of HACCP?**

---

Today, HACCP principles form the basis of Food Safety Plans worldwide. HACCP is applied to processes throughout every stage of the food supply chain, including production, preparation, packaging and distribution, and is used to manage food safety across many types of food businesses.

Think of HACCP principles as the steps you need to take to manage and control food safety risks in your business.



The seven principles of HACCP are:

1. Conduct a Hazard Analysis
2. Identify Critical Control Points
3. Establish Critical Limits
4. Monitor Critical Control Points
5. Establish Corrective Actions
6. Establish Record Keeping Procedures
7. Establish Verification Procedures

Canadian Institute of Food Safety - <https://www.foodsafety.ca/blog/everything-you-need-know-about-haccp> - *Safe Food for Canadians Regulations*

## Consultation and Discussion Sessions

On April 25-27, 2023, the Consultants visited Quesnel and conducted on-site inspection of the Sprout Kitchen Regional Food Hub.

While in Quesnel, the Consultants conducted two in-person sessions with the City of Quesnel's Economic Development Officer, Amy Reid; Kate Patterson (Sprout Kitchen Food Hub); the Community Food Coordinator; and invited users and potential users of Sprout Kitchen.

Discussion questions/points for these meetings included:

1. Could you describe for me how much and what type of food you buy, sell or manufacture within your community?
2. How does the Minister of Agriculture's Mandate Letter which includes working with Indigenous Communities on Agricultural Opportunity and Enhancements to Food Security in general affect your agency?
3. What are some of the barriers that your food business or social enterprise is experiencing right now?
  - a. Limited Financing?
  - b. Need equipment?
  - c. Limited local market?
  - d. Limited marketing experience?
  - e. Need help getting into Grocery Stores?
4. How can the Food Hub help grow your business?
  - a. Connecting with buyers/customers
  - b. Designing packaging/labels
  - c. Finding workers/labour
  - d. Technology Transfer/automation
  - e. Help with distribution/trucking



5. Are you good at the following activities:
  - a. Conducting a hazard analysis
  - b. Determining critical control point
  - c. Establishing critical limits
  - d. Monitoring procedures
  - e. Developing corrective action
  - f. Verifying procedures
  - g. Record-keeping and Documentation

6. Do you need help putting together a HACCP plan?

(Notes from these meetings are attached in the Appendix Section)

Based on the results of these consultation sessions, we would like to highlight the following:

- The community may have a local HACCP consultant available to act in an advisory role.
- Typical of the agricultural community of Canada, entrepreneurs represent an aging population that may not want to expand their operations to more value-add production and products.
- These entrepreneurs need to investigate opportunities to work with new or alternate growers and producers: and we would like to note that attendees are willing to help support younger producers.
- Quesnel seems to have insufficient ag-food entrepreneurs needed to support the Sprout Kitchen but if it nurtures those entrepreneurs and engages community groups involved in food security, the possibilities of a more sustainable Food Hub is readily at hand.
- In addition, Sprout Kitchen may need to work with community groups to help create value-add food products through alternate funding opportunities such as a social enterprise initiative or user partnership.
- The Quesnel food sector is closely connected with its community.
- For value-add processing to access institutional buyers, processors need to demonstrate Food Security; having a HACCP Certification would go a long way.

On April 25<sup>th</sup>, the Consultants also attended a Community tour of Sprout Kitchen and roundtable discussion hosted by the Regional Manager, Cariboo Region of the Ministry of Jobs, Economic Development and Innovation. The topic of the discussion was on the 'opportunities and desires for Indigenous economic and social development on food issues in the community'.

(Notes from these meetings are attached in the Appendix Section)

Based on the community roundtable discussion, we would like to highlight the following:

- Community agencies see the value of partnering with Sprout Kitchen and its resources, including accessing its delivery van service.
- Community agencies are very concerned about food security within the region.
- Community agencies are willing to work with Sprout Kitchen on the development of potential opportunities to provide programming and supports within the sector.



We would like to note that no official First Nations Representative(s) attended this roundtable discussion and so those present agreed that nothing related to First Nations Food Security could be discussed as we all agreed to honour the statement “nothing about them without them”. So, no opportunities were explored at this session. Attendees at the meeting do work with local First Nations, but were not in a position to explore opportunities on First Nations behalf.

On April 26<sup>th</sup>, the HACCP Consultant conducted a pre-assessment and evaluation of the Sprout Kitchen interior and exterior facility. ***A copy of the report is attached in the Appendix.***

During the week of May 1<sup>st</sup>, e-surveys were emailed by EDO to two target groups using the Economic Development Office database, with follow-up reminders sent the week of May 15<sup>th</sup>. The two target groups for the surveys were:

- Local Restaurants and Institutional Food buyers – 6 responses received.
- Users and Potential Users of Sprout Kitchen – 7 responses received.

Before we draw any conclusions, we would like to state that because of the limited number of respondents to the surveys for this needs assessment, thirteen responses in all, there is no statistical value in the feedback provided by the respondents to the survey themselves. We would encourage EDO/Sprout Kitchen to continue to implement and pursue more participants in the survey until a statistically valid survey can be reached. Therefore, we can only highlight key statements from those that did participate in this needs assessment for informational purposes only.

Based on the results of the Needs Assessment for Restaurants and Institutional Buyers (six responses), we would like to highlight the following:

1. Institutional Buyers and Restaurants are open to partnering with the Food Hub.
2. Institutional Buyers and Restaurants would like to start the conversation around supplying finished ingredients such as lettuces, vegetables, meat products, and baked goods. Please remember that these products can be packaged into single serve containers ready for consumption.
3. Institutional Buyers and Restaurants spend between \$ 50,000 and \$ 500,000 a year on food products, and,
4. Although the majority identified certification from Northern Health and Food Safe as important factors when assessing suppliers, 83% of the Institutional Buyers and Restaurants would prefer the Food Hub to be HACCP Certified.





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**City of Quesnel**  
**Re: Sprout Kitchen Food Hub**  
**Questions/Responses for Local Restaurants and Institutional Food Buyers**  
**SURVEY RESULTS – May 18, 2023**

**a) Does your Agency have an interest in supporting the local Ag-food sector (i.e. Farming, Food Security or Farmer's Markets)? Yes or No (If 'No' do not proceed and please return the questionnaire) (6 Answered)**

- |           |         |
|-----------|---------|
| • Yes (6) | 100.00% |
| • No (0)  | 000.00% |

**b) What types of products could you potentially purchase through your local Food Hub: (6 Answered)**

i. Fresh Produce:

- |                                                       |     |        |
|-------------------------------------------------------|-----|--------|
| 1. Leafy lettuces and greens                          | (4) | 66.67% |
| 2. Hardy Vegetables (i.e. Carrots, Cabbage, Potatoes) | (5) | 83.33% |
| 3. Fresh Fruits                                       | (2) | 33.33% |

ii. Frozen Produce:

- |                              |     |        |
|------------------------------|-----|--------|
| 1. IQF Mixed Vegetables      | (1) | 16.67% |
| 2. Frozen Potato Chips/Fries | (0) | 00.00% |
| 3. Mixed Greens              | (0) | 00.00% |

iii. Frozen Protein:

- |                                  |     |        |
|----------------------------------|-----|--------|
| 1. Beef                          | (4) | 66.67% |
| 2. Pork                          | (4) | 66.67% |
| 3. Chicken                       | (5) | 83.33% |
| 4. Fish                          | (2) | 33.33% |
| 5. Other, (please specify _____) |     |        |

iv. Canned Goods:

- |                              |     |        |
|------------------------------|-----|--------|
| 1. Mixed Vegetables          | (0) | 0.00%  |
| 2. Individual Vegetables     | (0) | 0.00%  |
| 3. Fruits                    | (0) | 0.00%  |
| 4. Fish (i.e. Salmon, Trout) | (1) | 16.67% |

v. Bottled Goods

- |                                             |     |        |
|---------------------------------------------|-----|--------|
| 1. Pickled Products (i.e. Eggs, Vegetables) | (3) | 50.00% |
| 2. Soups                                    | (1) | 16.67% |
| 3. Sauces                                   | (1) | 16.67% |
| 4. Seasonings                               | (1) | 16.67% |

- |                             |     |        |
|-----------------------------|-----|--------|
| vi. Packaged/Prepared Meals | (1) | 16.67% |
|-----------------------------|-----|--------|

- |                                    |     |        |
|------------------------------------|-----|--------|
| vii. Baked Goods (Fresh or Frozen) | (2) | 33.33% |
|------------------------------------|-----|--------|

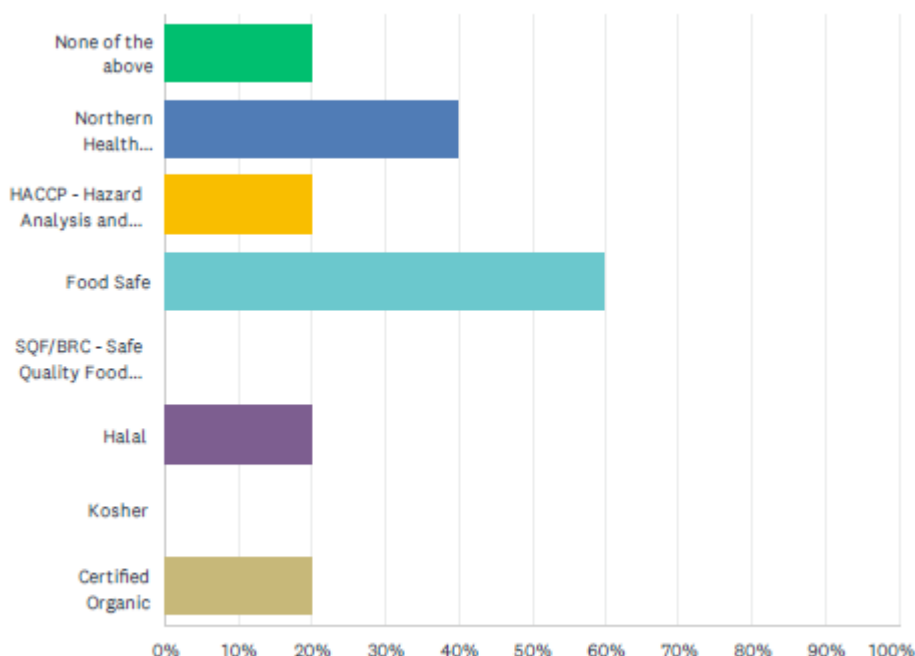


c) Do you have any product specifications you could share? (0 Answered)

d) Approximately what range best describes your annual food purchasing budget? (6 Answered)

|                                        |     |        |
|----------------------------------------|-----|--------|
| a. Less than \$ 20,000                 | (0) |        |
| b. Between \$ 20,000 and \$ 50,000     | (0) |        |
| c. Between \$ 50,000 and \$ 200,000    | (2) | 33.33% |
| d. Between \$ 200,000 and \$ 500,000   | (4) | 66.67% |
| e. Between \$ 500,000 and \$ 1 million | (0) |        |
| f. More than \$ 1 million              | (0) |        |

e) Which of the following certifications would a supplier need to participate in your food business: (5 Answered/1 Skipped)



|                                       |     |        |
|---------------------------------------|-----|--------|
| a. Northern Health Authority Approval | (2) | 40.00% |
| b. HACCP                              | (1) | 20.00% |
| c. Food Safe                          | (3) | 60.00% |
| d. SQF/BRC                            | (0) |        |
| e. Halal                              | (1) | 20.00% |
| f. Kosher                             | (0) |        |
| g. Certified Organic                  | (1) | 20.00% |
| h. None of the above                  | (1) | 20.00% |



**f) Would a HACCP accredited Food Hub Facility be of interest to your agency? (6 Answered)**

- Yes (5) 83.33%
- No (1) 16.67%

**g) Would you like to explore how you could partner with the Food Hub?(6 Answered)**

- Yes (5) 83.33%
- No (0)
- Not at this time (1) 16.67%

**h) May we have your contact information for additional follow-up discussion about the food hub? (4 Answered/2 Skipped)**

|                    |                                   |                   |                     |
|--------------------|-----------------------------------|-------------------|---------------------|
| <b>Name</b>        | Craig S [REDACTED] x 2 businesses | Dave R [REDACTED] | Meghan L [REDACTED] |
| <b>Company</b>     | [REDACTED]                        | [REDACTED]        | [REDACTED]          |
| <b>Address</b>     | PO Box [REDACTED]                 | [REDACTED]        | [REDACTED]          |
| <b>City/Town</b>   | Quesnel                           | Williams Lake     | Quesnel             |
| <b>Province</b>    | BC                                | BC                | BC                  |
| <b>Postal Code</b> | V2J [REDACTED]                    | V2J [REDACTED]    | V2J [REDACTED]      |
| <b>Email</b>       | craig@[REDACTED]                  | [REDACTED]        | info@[REDACTED]     |
| <b>Phone</b>       | [REDACTED]                        | [REDACTED]        | [REDACTED]          |
|                    |                                   |                   |                     |

Based on the results of the Needs Assessment for Current and Potential Users of the Food Hub, we would like to highlight the following:

- Current and Potential Users see value in the Commercial Kitchen, Walk-in Freezer and Cooler within the Food Hub.
- Current and Potential Users have identified the need to enhance the entry point into the kitchen itself including the need for a dressing room, a place to change outside footwear and an additional hand washing station (please note that Northern Health dictates this aspect of the operation). Also, they have identified the need to maintain or improve the sanitation and skills training related to food.
- Regarding Certifications required, only 40% of the Current and Potential Users identified HACCP as a possible need, with the majority of them identifying certification from Northern Health and Food Safe.
- Of those that were surveyed, there did not seem to be a willingness to pay for any



improvements within the facility as it worked towards HACCP certification, i.e., one participant stated they would be willing to pay \$ 10 extra a month and another stated they would consider a price increase of \$ 25 per month. This is untenable and therefore, we conclude that relying on Current and Potential Users of the food hub to finance the improvements needed to obtain HACCP certification is not a reasonable consideration. Without Government assistance, HACCP is not an option for the Food Hub itself.

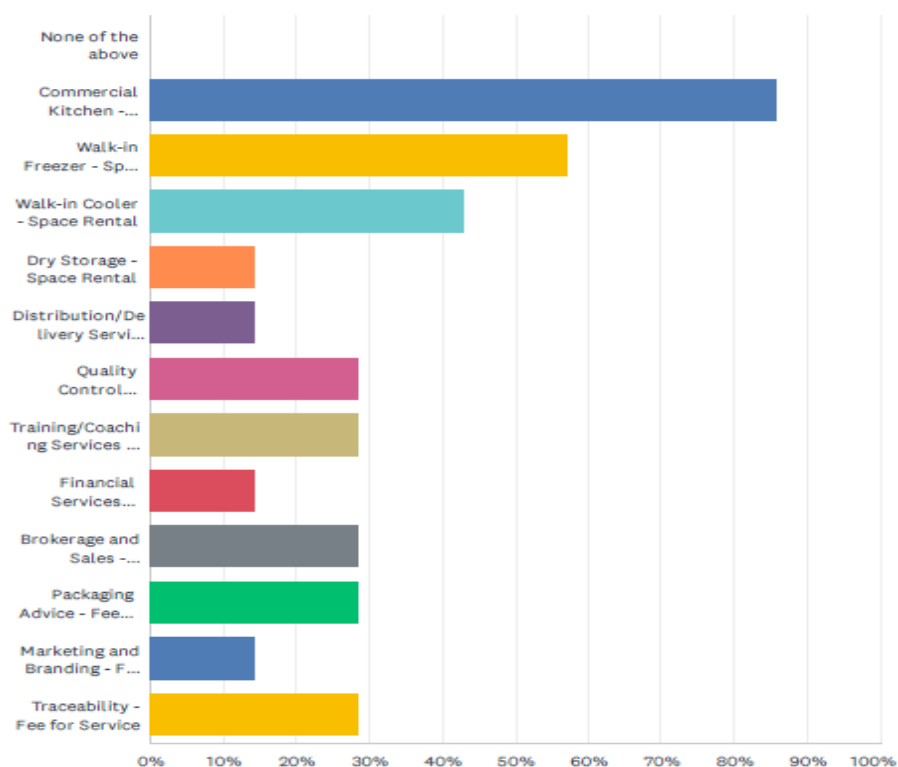
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**City of Quesnel**  
**Re: Sprout Kitchen Food Hub**  
**Questions/Responses for Users and Potential Users**  
**SURVEY RESULTS – May 18, 2023**

**How important is the Food Hub to your business/service? (6 Answered/1 Skipped)**

- a. Potentially quite crucial to some of my services.
- b. Very important.
- c. Food Hub is very important to my business.
- d. We are presently considering these questions, so don't yet have a definitive answer. Sorry!
- e. Currently NA – possibly in future.
- f. Somewhat have not used it yet.

**What types of services could you potentially use at the Food Hub: (7 Answered)**

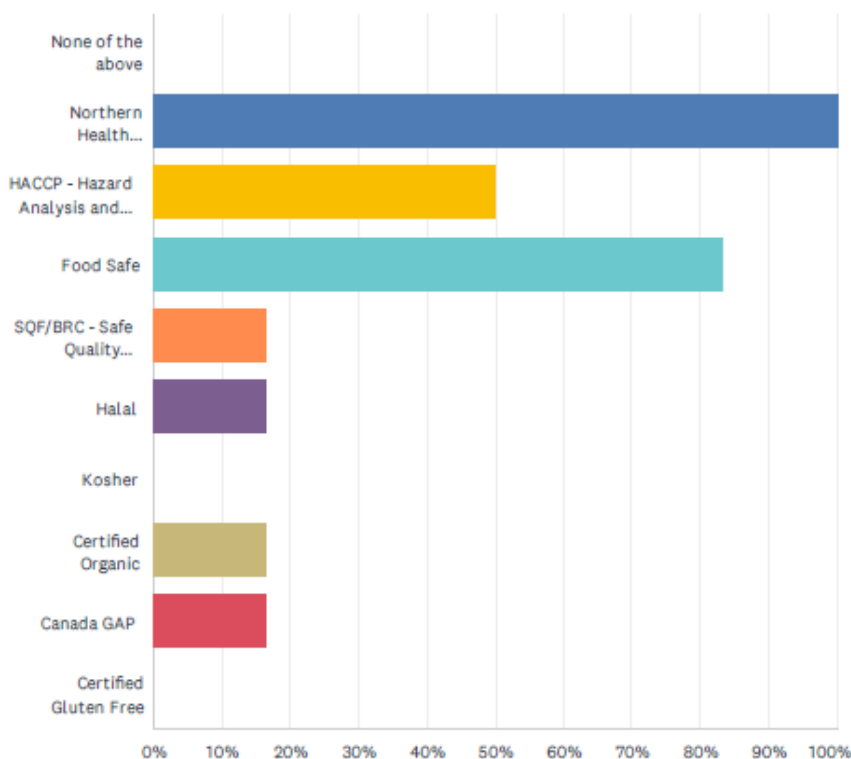




**What enhancements would you be willing to pay an additional fee for at the Food Hub (Sprout Kitchen)? (6 Answered/1 Skipped)**

|                                                                  |        |
|------------------------------------------------------------------|--------|
| • Designated shipping and receiving area                         | 33.33% |
| • Enhancements to exterior walls and lighting                    | 33.33% |
| • Enhancements to interior walls (wash-down-able)                | 33.33% |
| • Enhancements to the lab coats/dressing section of the facility | 50.00% |
| • Enhancements to shoe and hand washing entry system             | 66.67% |
| • Improvements to the sanitation program with verification       | 50.00% |
| • Temperature control within the facility itself (HVAC system)   | 33.33% |
| • Metal detection equipment                                      | 33.33% |
| • Additional Food Security Training                              | 33.33% |
| • Skills Training Programs related to Food                       | 66.67% |

**Which of the following certifications would you need to operate your food business? (6 Answered/1 Skipped)**

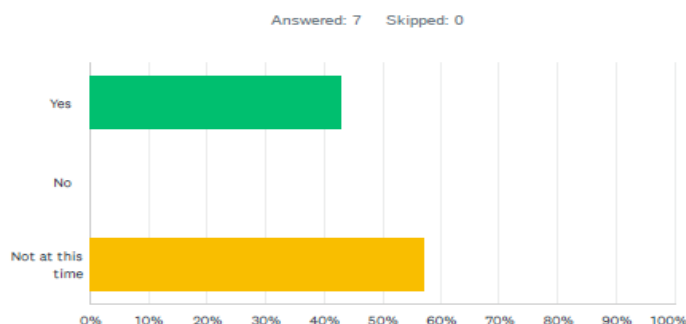




**What are/would you be willing to spend monthly on these services within the Food Hub?  
(5 Answered/2 Skipped)**

- a. An extra \$25/month on top of hourly rates
- b. Not sure but would be fine with a reasonable increase in hourly rates.
- c. Whatever it takes, this is a tax-deductible expense that also increases my income potential.
- d. Still considering this question. It depends on the direction we decide to go without business.
- e. Unsure. Although I believe the landlord of the property should be the one paying for upkeep; electric, security, fencing. As a landlord myself these are things I pay for at my properties and do not expect tenants to upkeep.

**Have you considered the need for HACCP certification to attract new customers?  
(7 Answered)**



**How much more would you be willing to spend monthly if the Food Hub was HACCP certified? (4 Answered/3 Skipped)**

- g. \$10/month
- h. It would depend on the number of units of product that we could produce and whether we could produce more than we could sell at local farmers markets. We would probably not need HACCP until we grow our production a little more in the next few years.
- i. At this stage, HACCP Certification would not make a difference.
- j. NA

**Would you be willing to participate in a follow-up discussion about the food hub? (6 Answered/1 Skipped)**

- Yes (5) 83.33%
- No (1) 16.67%





For further discussion on the Food Hub please provide your name, email address and phone number. (4 Answered/3 Skipped)

|             |                          |                       |                         |                   |
|-------------|--------------------------|-----------------------|-------------------------|-------------------|
| Name        | Jeffrey H [REDACTED]     | Elliott/ K [REDACTED] | Linda Lori N [REDACTED] | Paul Z [REDACTED] |
| Company     | Whole Instinct Nutrition | [REDACTED]            | [REDACTED]              | [REDACTED]        |
| Address     | [REDACTED]               | [REDACTED]            | [REDACTED]              | [REDACTED]        |
| City/Town   | Quesnel                  | Baker Creek           | Quesnel                 | Quesnel           |
| Province    | BC                       | BC                    | BC                      | BC                |
| Postal Code | V2J [REDACTED]           | V2J [REDACTED]        | V2H [REDACTED]          | V2J [REDACTED]    |
| Email       | jeffrey@[REDACTED]       | from [REDACTED]       | Linda_n [REDACTED]      | nstar@[REDACTED]  |
| Phone       | 250-[REDACTED]           | [REDACTED]            | 250-[REDACTED]          | 250-[REDACTED]    |

## CHECKLIST OF REQUIRED CHANGES TO SOPs, POLICIES, PROCEDURES AND POTENTIAL DEVELOPMENT NEEDS TO BRING FACILITY TO HACCP READY

*HACCP certification is an international standard defining the requirements for effective control of food safety. It is built around seven principles:*

- 1. Conduct Hazard Analysis of biological, chemical or physical food hazards.*
- 2. Determine critical control points.*
- 3. Establish critical control limits, for example, minimum cooking temperature and time.*
- 4. Establish a system to monitor control of Critical Control Points*
- 5. Establish corrective actions.*
- 6. Establish procedure for verification to confirm that the HACCP system is working effectively.*
- 7. Establish documentation and record keeping.*

On April 26<sup>th</sup>, the HACCP Consultant conducted a pre-assessment HACCP inspection, evaluation and plan recommendations for the Sprout Kitchen interior and exterior facility. His results are summarized below as well as the details of the analysis and recommended plan.



## **Sprout Kitchen HACCP Analysis Summary – May 2023**

*Dear Sprout Kitchen Management,*

*It was a pleasure to meet your staff and some of your users. Before I get into the recommendations for your facility prior to HACCP certifications, I would like to offer some positive feedback. Your shared kitchen was in immaculate condition. The production floor and equipment were clean and well maintained. The walls and floor were spotless and made of food safe material designed to be cleaned effectively. The fridge and freezer were in excellent condition as well and are easily ready for storage of final product if necessary. I have included a copy of my full report with this letter of recommendation. I believe your facility can make the transition to HACCP and Food Defense with few major changes to your infrastructure.*

*Some minor changes that need to happen within your facility are mostly centered on documentation and employee training.*

*The ventilation on the ceiling and the flat areas above the cooler and washroom needs to be on a regular cleaning schedule and incorporated into your sanitation SOPs. These areas can collect dust and harmful bacteria that could eventually fall and contaminate product on the production floor. There are tools that are made specifically for this job.*

*All chemicals in the plant must be labeled and if any chemical is diluted or transferred into a spray bottle, that bottle must be labelled with the appropriate MSDS information for use. Additionally, all chemicals must be stored in the chemical storage closet when not in use. An MSDS binder containing sheets for EVERY chemical in the plant must be available to all employees. Auditors love to walk around your facility, pick up a random bottle of something and ask for the MSDS sheet. I recommend your manager collects an MSDS binder for employees and inspectors.*

*As you develop your HACCP plan you will be identifying hazards within your production line. One sure hazard that will affect the safety of your product will certainly be the temperature and cook times of your ovens. Your ovens will require proper monitoring devices and daily calibration to verify you are meeting the temperature needed to safely process your product. Additionally, I would recommend some sort of temperature control on your production floor. Although no activities at the time of the inspection required cooling, any users that package meat products in your facility would surely benefit from an air-conditioned cooling system.*

*As a HACCP requirement, regular and constant inspection of finished product must be performed within your facility. I was happy to hear that you are planning to convert one of your rooms into a lab for analysis and inspection of final product. The room meets all requirements for HACCP and can be used for storage i.e. (packaging materials) as well.*

*One of my Major concerns was with the good manufacturing practices and use of personal protective equipment of your employees. Sprout Kitchen must develop a training program for its employees and enforce PPE requirements on the production floor. All employees should be wearing hairnets and gloves when they handle final product that is HACCP certified. Open toed shoes and jewelry should not be allowed on the production floor. In my experience, introducing GMPs and hygiene policies to employees*



*is difficult at first but once a food safety culture is built and followed, employees and users of Sprout Kitchen will expect nothing less.*

*Employees' personal items and lunches were also stored throughout the facility which constitutes a major risk to food safety in a HACCP system. The construction or allocation of a space away from the production floor and designated for employees will take care of many of the minor and major risks identified in the audit report. A lunchroom or meeting area will also be useful for training new employees and retraining all staff and users at the sprout kitchen facility.*

*Another concern is the presence of wood on the production floor and sanitation tools and hoses on the ground. Wood harbors bacteria and is near impossible to completely sanitize. All wood items, if possible, should be removed from the production floor. Hooks should be purchased for all sanitation tools and hoses and should be regularly checked for compliance.*

*Signage is a major part of a HACCP and food safety program. Signs outlining good manufacturing practices, PPE requirements and company policies must be hung in areas where these activities are required.*

*Traceability is also a major concern. In a HACCP system, all products must be able to be traced back from the buyer to the supplier and forward from the supplier to the buyer in the event of a product recall. I would recommend Sprout Kitchen purchase an electronic traceability system to manage their raw materials, final product, and packaging material. At a minimum, a paper system is required but an electronic system will make it easier for your staff and users to properly manage the traceability of their product.*

*The last Major concern revolves entirely around documentation and the creation of a Food Safety plan to address all the requirements of a HACCP system. A complete Food Safety Plan for Sprout Kitchen should be created and managed by a designated person. This person should not have production duties and should have a background in quality assurance, so they have the skills necessary to enforce and maintain your HACCP program. A Food Safety Plan will address most issues outlined in the Sprout Kitchen HACCP evaluation and will support a full HACCP plan for your facility.*

*It is my recommendation that The Sprout Kitchen facility is ready for HACCP compliance and once the issues outlined in this report are addressed and a Food Safety plan is created and implemented, Spout Kitchen should have no problem gaining its HACCP certification. If Sprout Kitchen moves forward with their HACCP certification plans, I would appreciate the opportunity to work with your staff and help create a Food Safety and HACCP plan that will help your business move forward in this age of Food Security and Quality driven Production.*

*If you have any questions or comments on my Report, please do not hesitate to contact me for support. Sincerely,*

*Dan Sigfusson  
Food Safety Consultant  
778-779-5066  
dsigfuss@hotmail.com*



## Sprout Kitchen HACCP Analysis and Plan – May 2023 (SOPs, Policies & Procedures and Potential Development Needs)

| ITEM                                  | Risk        | Question                                                                                        | Observations                                                                                                                                                                                                                                                                   | Recommendations                                                                                                                                                                                                                                                                                                                                                                                  |
|---------------------------------------|-------------|-------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Storage Areas and Packaging Materials | Minor       | Are chemicals stored securely, safely and are they labelled correctly?                          | Sprout Kitchen has an adequate chemical storage location. Their individual spray bottles containing diluted cleaning solution, however, were not labelled and many of their customers had cleaning products stored with equipment or with raw materials in their workstations. | All cleaning products should be labelled and returned to the facility's chemical storage room after use. It might be an idea to restrict customers from bringing in their own chemical cleaners. If they have specific requirements, then they must approve the chemicals with Sprout Kitchen staff and take them home after use if they do not wish to leave them in the chemical storage room. |
| Storage Areas and Packaging Materials | Minor       | Are all Chemicals stored securely to prevent cross contamination? As well as Allergen controls? | There wasn't any evidence of cross contamination seen in either cold or freezer storage, but no allergen control program was in place.                                                                                                                                         | An allergen Control Program must be developed and in practice to meet HACCP requirements. Allergen Control is directly addressed in both your facilities' HACCP plan and Food Safety Program.                                                                                                                                                                                                    |
| Storage Areas and Packaging Materials | Observation | Are ON- HOLD materials clearly identified and separate from other materials?                    | No ON-HOLD areas were noticed in Facility.                                                                                                                                                                                                                                     | Any storage area for finished product or raw materials should have a small area designated for ON-HOLD Product or Rejected Raw Materials. A corner with a sign indicating ON-HOLD Product is usually enough to meet the requirement. This area should be designated even if there are no ON-HOLD products in the facility.                                                                       |
| Storage Areas and Packaging Materials | Observation | Are storage areas at the appropriate temperature for the specific product being stored?         | Yes - No logs are being kept for the freezer or the cold storage.                                                                                                                                                                                                              | A log should be created as part of your documentation program for temperature monitoring. The frequency will depend on the products being stored and the risks involved in maintaining your temperature.                                                                                                                                                                                         |
| Operational Practices                 | Observation | Are raw Materials Examined before Use?                                                          | While it appears that all employees have some food safety training, no documentation is available for pre-inspection of ingredients.                                                                                                                                           | A pre-operational Inspection checklist should be developed as part of Sprout's Kitchen's document control program. This will include a simple check that all ingredients have been inspected prior to production.                                                                                                                                                                                |
| Operational Practices                 | Observation | Are foreign Material control methods in place? Are they regularly tested?                       | There is no regular inspection of product other than visual inspection by                                                                                                                                                                                                      | Regular inspection of product will have to be performed. This will include a sampling program with accompanying documentation as part of a HACCP approved Food Safety Plan.                                                                                                                                                                                                                      |



|                       |       |                                                                                      |                                                                                                                                                                            |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |
|-----------------------|-------|--------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|                       |       |                                                                                      | employees packaging the product.                                                                                                                                           |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |
| Operational Practices | Minor | Are single service containers cleaned and used only for their intended purpose only? | Many ingredients were seen without labels throughout the facility. I am sure the users know what is inside each container, but HACCP requires all ingredients be labelled. | Some sort of labelling checklist might be required to help Sprout Kitchen users get used to the idea of maintaining Ingredient records. Each Ingredient removed from its original packaging should be placed into a container labelled with all tracking and best-before information of the ingredient. Additionally, each container should be designated for a specific ingredient and not re-used for something else. This will be part of a working Allergen program.                                                                                         |
| Employee Practices    | Major | Are Employees following Good Manufacturing and Good Hygiene Practices?               | There is not a Good Manufacturing Program in place.                                                                                                                        | Sprout Kitchen will have to develop a suitable list of Good Manufacturing Practices for its users and provide training, so they are aware.<br>Items on the list will include but are not limited to: <ul style="list-style-type: none"> <li>• Hairnets must be worn</li> <li>• Gloves when appropriate</li> <li>• No Tank Tops</li> <li>• No open toed shoes</li> <li>• No jewelry</li> <li>• No pens in open pocket</li> </ul> This list will be developed as part of the Food Safety Program and will address all employee hazards as part of your HACCP plan. |
| Employee Practices    | Minor | Are first Aid Kits adequately stocked and readily available?                         | First Aid kits were on site but not labelled for all users to see.                                                                                                         | Simply put up a sign where the first aid kit is stored and train new users where it is in an orientation training seminar.                                                                                                                                                                                                                                                                                                                                                                                                                                       |
| Employee Practices    | Minor | Employees personal Items are not being stored in the production area?                | Purses and personal items were seen in the production areas.                                                                                                               | This should be checked to ensure users are reminded. A checklist can be developed to check for hygiene and Employee practices as part of your Food Safety Program.                                                                                                                                                                                                                                                                                                                                                                                               |
| Employee Practices    | Minor | There is a place for employees to store their personal items?                        | No area is designated for employees' personal items.                                                                                                                       | An area must be developed for employee personal item storage. This can include lockers or a designated room.                                                                                                                                                                                                                                                                                                                                                                                                                                                     |
| Employee Practices    | Minor | Is smoking, eating and drinking confined to designated areas?                        | Lunches were seen in fridge in proximity to raw ingredients. Employee beverages were also seen in facility workstations.                                                   | A refrigerator should be bought and designated for user's lunches and drinks. Opened drinks should not be kept in work areas and if required this should be added to the employee GMP checklist.                                                                                                                                                                                                                                                                                                                                                                 |
| Employee Practices    | Minor | Do employees use hand wash stations after using bathroom facilities?                 | Employees were not using the hand wash stations outside the bathroom. It is assumed they are using the wash station inside the                                             | This can be solved easily with proper handwash signage. Additionally, a partition should be constructed so the washroom does not open directly onto the production floor. This can be a continuous improvement project for a later date.                                                                                                                                                                                                                                                                                                                         |



|                    |             |                                                                                                                                                                                                |                                                                                                                                                                                                                               |                                                                                                                                                                                                                                   |
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|                    |             |                                                                                                                                                                                                | bathroom, but they must also wash their hands at the production area hand wash station before they start work.                                                                                                                |                                                                                                                                                                                                                                   |
| Equipment Cleaning | Minor       | During Cleaning are food and packing surfaces protected from contamination?                                                                                                                    | Ingredients are stored outside designated storage areas in individual workspaces where refrigeration is not required. Some of the containers may be boxes or made of materials that could get wet during cleaning operations. | The facility was very clean. Food items must have a designated area for storage, especially during times when sanitation duties are being performed.                                                                              |
| Equipment Cleaning | Observation | Is equipment that is not in use on a daily basis stored in clean condition with all food contact surfaces covered?<br>And/ or are they on a cleaning schedule even though they are not in use? | Some of the equipment for food production has not been used in some time. A small amount of dust could be seen on the equipment, but I was told the equipment is always cleaned before use.                                   | Any Equipment not in use should be covered with food safe material. (I.e. plastic sheet covers.) If the Equipment is not covered, it needs to be on a cleaning schedule and documentation for its cleaning needs to be completed. |
| Equipment Cleaning | Observation | Are all utensils and tools in the production clean and stored in a manner to prevent contamination?                                                                                            | Brooms and other sanitation equipment could be seen on the floor standing up against the wall. There were some tools noted that were made of wood. (I.e. Rolling Pins and mixing spoons)                                      | Hooks need to be purchased for all sanitation equipment and any utensils used in the facility should be made of food safe material if possible.                                                                                   |
| General Cleaning   | Observation | Are waste and garbage frequently removed from packaging and storage areas?                                                                                                                     | The garbage seemed well maintained. No documentation was available for garbage removal                                                                                                                                        | Again, the facility was very clean. Some simple documentation, as part of a Food Safety plan, can be used to verify that garbage and waste is being removed from the production floor on a regular basis.                         |
| General Cleaning   | Observation | Do floor drains appear clean, free from odors and well maintained?                                                                                                                             | There were only two floor drains located in the facility at opposite ends of the production floor. My only concern is that they are not sufficient to promote a full sanitation program for this facility.                    | The facility meets the requirement for HACCP. As a means of continuous improvement, I would suggest widening the drains or creating new drains for the production floor.                                                          |



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| General Cleaning | Minor       | Do high level areas including overhead pipes, ducts fans appear clean?                                      | The ducts have a fair amount of dust on them. Fortunately, there were no workstations under these ducts during the time of inspection or it might have been a MAJOR.                                             | If condensation was seen on the ducts during an inspection and it were to drip onto product that would be an automatic fail due to the condition of the duct work. The ducts need to be on a regular cleaning schedule and the tools necessary to clean it should be purchased. If a workstation is ever set up under ducting or pipes. Catches should be built beneath them to prevent contamination.                                                                                                                                                                  |
| General Cleaning | Observation | Does the facility have Personal Protective Equipment to meet the needs of the sanitation chemicals on hand? | I did not notice the presence of any PPE. i.e. Gloves, goggles, face masks. I may not have seen them due to the length of the inspection.                                                                        | WHIMIS sheets for each chemical in the facility should be printed and stored in the office. The PPE requirements for chemical are written into the label and should be purchased for employees using the chemicals.                                                                                                                                                                                                                                                                                                                                                     |
| General Cleaning | Observation | Are employee facilities clean, including microwave and refrigerator?                                        | There are no employee facilities                                                                                                                                                                                 | Not having an area for employees and users might be problematic for numerous sections of a food safety audit. A microwave and a refrigerator are required for employees and both should be on a cleaning schedule.                                                                                                                                                                                                                                                                                                                                                      |
| Pest Control     | Major       | Does the facility have a pest control program?                                                              | The facility has traps but no pest control program.                                                                                                                                                              | A pest control program should be managed by your pest control provider. The technician that does your pest control monitoring should provide you with a binder contains a map with all of your devices' locations and all licenses the pest control technician and company have. Your pest control should know exactly what to do and should already be providing you with a pest control binder. When an inspection occurs from CFIA or Northern Health, your manager should be able to hand them the binder and the Pest Control portion of the audit should be over. |
| Pest Control     | Observation | Are pest control devices maintained?                                                                        | Pest control boxes appeared clean but were dirty on the inside when opened.                                                                                                                                      | You must keep a close eye on your pest control company employees. They must clean the traps and should have a form that they provide you as part of their service that states that all boxes were checked and cleaned every visit.                                                                                                                                                                                                                                                                                                                                      |
| Pest Control     | Minor       | Are EXT and INT pest control devices adequate in number and positioned properly?                            | There were adequate pest control boxes in place inside the facility but seemed positioned in locations not effective for rodent control. There were no exterior pest control boxes located outside the facility. | You should have exterior pest control boxes and the inclusion of any poison in these boxes should be noted in the pest control binder your provider gives you. Additionally, your pest control provider should design you a pest control map that has the locations set and traps numbered so if a trap is kicked or moved it can be returned by someone who has the map.                                                                                                                                                                                               |





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| Buildings and Grounds | Minor          | Are Signs supporting GMPs posted appropriately?                                                                                                                                           | There are very few GMP related signs.                                                                                                                                                               | Signs should be created, laminated and displayed in strategic areas to remind employees and users of the good manufacturing practices Sprout Kitchen has committed to follow as part of their Food Safety plan.                                                                                          |
| Buildings and Grounds | Major          | Are all lights that are in the facility properly shielded, coated or otherwise shatter resistant to product workstations, packaging and product from contamination if they were to break? | The lights do not appear to be shielded. If they are made of shatterproof glass, then please disregard this observation.                                                                            | Covers or light tubes for the existing bulbs need to be purchased for all lights in the production area. (Unless they are already shatterproof)                                                                                                                                                          |
| Buildings and Grounds | Minor          | Has the facility eliminated the use of wooden items or surfaces?                                                                                                                          | Wooden tools for baking and mixing could be found throughout the facility as well as wooden handles for mops and brooms.                                                                            | If possible, all wood tools and surfaces should be removed from the facility and replaced with food safe materials such as stainless steel, rubber or hard plastic.                                                                                                                                      |
| Buildings and Grounds | Non-Compliance | Are the floor drains where they are needed for clean-up and drainage?                                                                                                                     | Floor drains are located at opposite ends of facility.                                                                                                                                              | Food drains are adequate in number for the size of the facility, but it seems like it would be problematic when cleaning the middle of the floor. This is just an observation. Drains are adequate for HACCP certification, but they need to be on a written cleaning schedule and sanitation checklist. |
| Buildings and Grounds | Minor          | Are door to the outside of the facility pest proof?                                                                                                                                       | All doors have pest control stripping. The front bay door leading into the facility is damaged and pests could get in through cracks in the door's plates that have shifted out of place.           | The bay door needs to be replaced or repaired. It is still adequate for HACCP certification but should be considered an item to show continuous improvement as your facility evolves.                                                                                                                    |
| Buildings and Grounds | Minor          | Is the exterior area immediately outside the facility free of litter weeds and standing water?                                                                                            | There are thorn bushes close to the backside of the building that could be a home for rodents prior to entering the facility. Some weeds can also be seen that are high enough for rodents to hide. | The grounds should be maintained on a regular basis to prevent weeds and bushes from growing adjacent to the facility. This regular upkeep of the facility grounds should also be on a schedule and documented when this activity is performed.                                                          |
| Buildings and Grounds | Observation    | Are all waterlines protected from back flow siphoning?                                                                                                                                    | The manager believed the site has a backflow prevention device at the connection to the city water line and that the line is inspected. No                                                          | This is a simple matter of requesting documentation from all contractors and inspection agencies that visit the facility. A list of work performed and the results of any inspection by an outside contractor or inspection agency is all that is required. Often, this information will appear on       |



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|                                   |                |                                                                                                                          | documentation could be produced for the device or the inspection.                                                                                                                                                                                            | an invoice so keep them together for inspection purposes. Sometimes the city will postpone these sorts of inspections so it can be the manager's duty to call and ask them annually for these documents.                                                                                                                                                                                                                                                                                    |
| Buildings and Ground              | Minor          | Does the Exterior Grounds of the facility pose a risk to food safety?                                                    | The Grounds of the facility are kept clean. No glass or brittle plastics could be seen on the grounds. The parking lot however is made of small gravel and could be tracked into the facility as employees and users park their cars and enter the facility. | At a minimum, the facility should purchase a mounted shoe brush for employees and users entering the facility to remove gravel and foreign materials from their shoes before they enter. As a means of continuous improvement, the parking lot should be paved to eliminate the risk of gravel entering their facility.                                                                                                                                                                     |
| Management Systems                | Non-Compliance | Does the facility have a food safety management system?                                                                  | No - management system is not in place.                                                                                                                                                                                                                      | A HACCP management system will contain: <ul style="list-style-type: none"> <li>• Food Safety Policy</li> <li>• Organizational Chart stating food safety responsibilities</li> <li>• Designated person in charge of Food Safety Plan</li> <li>• Food Safety committee and Food safety Logs (minimum 2 employees)</li> </ul>                                                                                                                                                                  |
| Control of Documents and Records. | Minor          | Is there a written document control procedure outlining how documents will be created, maintained, updated and replaced? | There is no document control Procedure.                                                                                                                                                                                                                      | The facility did have many documents in place for verification of sanitation procedures. A Full Food Safety Plan would include a section for document control and storage of completed forms and records that meets HACCP requirements                                                                                                                                                                                                                                                      |
| General File Requirements         | Non-Compliance | Are there written Standard Operating Procedures outlining detailed work instructions and good manufacturing Practices?   | The facility has well written SOPs for sanitation and Facility care but no SOPs relating to other work details and food safety practices.                                                                                                                    | At minimum the facility should have written SOPs for the following activities. <ul style="list-style-type: none"> <li>• Receiving Raw Materials</li> <li>• Chemical Monitoring Procedures I.e. Sanitation Chemical testing</li> <li>• Temperature Control</li> <li>• Foreign Material Control</li> <li>• Pest Control</li> <li>• Allergen Control</li> <li>• Shipping Final Product</li> <li>• Personal Hygiene and Good Manufacturing Practices</li> <li>• Food Safety Training</li> </ul> |
| General File Requirements         | Major          | Is there a documented Glass and Brittle Plastics policy and procedure?                                                   | The manager of the facility was aware of all glass related items and equipment, but no program is in place                                                                                                                                                   | All glass and brittle plastics in the facility must be listed on a glass and brittle plastics map. These items must be checked for breakage on a schedule. An SOP for breakage and how your                                                                                                                                                                                                                                                                                                 |



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|                                   |                |                                                                                                                                                                             |                                                                                                                                                                                                                                             | facility responds to broken glass should be developed as part of a Food Safety plan.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |
| Traceability                      | Minor          | Is there a documented account that indicates how the facility's tracking system works enabling trace back and trace forward in the event of a possible recall?              | All raw ingredients were labelled, and final product and packaging materials contained all the information necessary for a full traceability program. There was no SOP for traceability and final packaging information was not documented. | The facility is ready for a traceability program. I would recommend starting with a very basic traceability system that prints labels, tracks raw materials and links packaging lots to final product. Additionally, a full Recall Plan must be written as part of a Food Safety Program. Once the recall program is written it must be annually tested for speed and performance.                                                                                                                                                                                                             |
| Traceability                      | Non-Compliance | Is there a written procedure for handling on hold and rejected materials?                                                                                                   | There is no written procedure and no location for storage of rejected raw or finished product.                                                                                                                                              | As mentioned above a location in your facility must be designated for On-Hold and rejected product. This could simply be a small section of your fridge and freezer. An on-hold procedure could be written as part of your Food Safety Plan.                                                                                                                                                                                                                                                                                                                                                   |
| Supplier Control                  | Non-Compliance | Is there a written specification for finished Goods?                                                                                                                        | There were no specifications for finished goods.                                                                                                                                                                                            | Creating a finished product specification for your granola product could be very advantageous for the continued quality of your product. Continuous Quality Control testing to meet your specifications would solve many of the hazards identified in a working HACCP plan resulting in fewer critical control points and an easier monitoring system.                                                                                                                                                                                                                                         |
| Chemicals                         | Minor          | Are copies of all Material Safety Data Sheets (MSDS) for detergents, sanitizers, etc. on file and fully accessible for all chemicals in the facility? Is there a usage log? | No MSDSs were available for inspection but the manager believed they were on-site.                                                                                                                                                          | All chemicals in the facility should be inventoried and a list generated. All MSDSs can be found on-line. The MSDS sheets can then be printed and organized in a binder, available to all employees and users of the facility. A usage log can be made and kept in areas where chemicals are stored.                                                                                                                                                                                                                                                                                           |
| Internal and External Inspections | Non-Compliance | Does the facility perform periodic internal inspections of staff, procedures and policies? Are these inspections documented?                                                | The facility does not perform any internal inspections.                                                                                                                                                                                     | Periodically monitoring your employees and practices is a great way to see if your food safety program is effective and that your HACCP plan is working. A full Food Safety program would address all procedures and documentation required for internal inspections.<br>The following activities should be inspected as a minimum requirement: <ul style="list-style-type: none"> <li>• Pre-Operation</li> <li>• Incoming Materials</li> <li>• Pest Control Program</li> <li>• Food Safety Records</li> <li>• Hygiene and GMP</li> <li>• Sanitation</li> <li>• Temperature Records</li> </ul> |



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|                            |                |                                                                                                                                                                                                  |                                                                                                                                                                                                                                    | <ul style="list-style-type: none"> <li>• Maintenance Records</li> <li>• Final Product</li> <li>• Backflow Prevention Device</li> </ul>                                                                                                                                                                                                                                                                                                                         |
| Process Control            | Minor          | Are there records for the necessary process monitoring activities (temperature, pH, heating processes) showing frequency of monitoring, critical limits and where necessary, corrective actions? | No temperature monitoring documents were available, but the cold and freezer storage areas were controlled by an automated system and records are stored electronically. The ovens did not have any temperature monitoring system. | During process any heating temperatures should be documented. This can be a simple form created as part of your Process Control in a Food Safety Plan.                                                                                                                                                                                                                                                                                                         |
| Process Control            | Non-Compliance | Are there records that show anti-microbial strength testing for sanitation chemicals?                                                                                                            | There are no records for testing of sanitation chemical.                                                                                                                                                                           | I noticed that an automatic dispenser is being used for their main cleaning chemical. That is excellent and makes testing even easier because these devices are rarely off. All that the facility needs to do is ask their chemical provider for some test strips to test the strength of their product and they should provide those for free. Test the chemical before use and record it on a sanitation document every time a sanitation duty is performed. |
| Process Control            | Major          | Are there equipment calibration procedures?<br>i.e. oven thermometers, freezer thermometers, pH meters                                                                                           | There seems to be no equipment calibration in the facility.                                                                                                                                                                        | All equipment that provide any quantitative information should be calibrated on a schedule. Calibration is usually an easy activity but necessary for a food Safety Program to successful meet its HACCP requirements.                                                                                                                                                                                                                                         |
| Maintenance and Sanitation | Minor          | Does the facility have a preventative Maintenance Program?                                                                                                                                       | There is no maintenance program, but all equipment was in excellent condition                                                                                                                                                      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                |
| Maintenance and Sanitation | Minor          | Are there records showing verification of cleaning procedures?                                                                                                                                   | The facility was very clean, but no verification of sanitation program was taking place.                                                                                                                                           | Verification of a sanitation program requires some microbial analysis of food contact and non-food contact basis. Ideally your facility would purchase an ATP reader that reads microbial activity, but simple swabbing will suffice that can be analyzed in an In-House lab or sent to an outside lab for analysis.                                                                                                                                           |
| Maintenance and Sanitation | Minor          | Are there SOPs for cleaning of Equipment, Walls, Floors, Drains, and Ventilation?                                                                                                                | The facility has Sanitation SOPs, but many areas of the facility are missing.                                                                                                                                                      | There is a large flat space above the coolers and bathrooms that appear to be collecting dust and debris. The vents were very dusty as well. This is common and nothing to worry about. If these items were on a schedule as part of a complete sanitation SOP they would be regularly inspected.                                                                                                                                                              |



|                            |                |                                                                                              |                                                                                                                                         |                                                                                                                                                                                                                                                                                                                                              |
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| Maintenance and Sanitation | Major          | Does the facility have a cleaning and maintenance schedule?                                  | The facility does not have written scheduled maintenance and sanitation activities, but the facility is very well maintained and clean. | All areas of the facility and equipment are required to be on a cleaning and maintenance schedule. This is generally a single document listing specific areas of the facility, equipment and the frequency in which they are cleaned and maintained.                                                                                         |
| Personnel                  | Non-Compliance | Is there documented Food-Safety and GMP training for employees and visitors of the facility? | There is no documented training.                                                                                                        | Employees require training to meet all of the personnel requirements of a working HACCP program. New users and employees can be trained In-House by Sprout Kitchen staff. A training document outlining Sprout Kitchen GMP rules and policies can be read and signed by each new employee or user before they begin their first day of work. |
| Physical Security          | Minor          | Are the facility external areas and vulnerable entry points surrounded by security fencing?  | There is no fencing, but a large portion of the facility is surrounded by an enclosed embankment,                                       | Since the facility does not store any equipment or materials outside, the lack of security fencing, although a requirement, will not fail a HACCP inspection. Security fencing should be built around the facility as a continuous improvement for future inspections.                                                                       |
| Physical Security          | Minor          | Are packaging materials secure and stored separately from raw materials?                     | Packaging Materials for granola product were stored in production area but were covered for protection.                                 | Packaging materials should be stored in a designated secure room. There is a room I was told was going to be used as a lab for the facility's quality control testing. Shelving could be placed in this room and be designated for packaging material storage.                                                                               |
| Employee Security          | Minor          | Are background checks performed on key personnel and employees?                              | The question was not asked due to time restraints.                                                                                      | Background checks should be performed on key employees at a minimum before they are hired. Calling references usually is good enough to meet this requirement.                                                                                                                                                                               |
| Employee Security          | Minor          | Are employee personal items stored in the production or storage areas?                       | Yes, employee personal items were noticed in the production area and cold storage areas.                                                | An area is going to have to be designated for employee personal items. Lockers or a separate room for employees is recommended.                                                                                                                                                                                                              |

#### HACCP REPORT REFERENCE KEY

| RISK            | MEANING                                                                                                                                      |
|-----------------|----------------------------------------------------------------------------------------------------------------------------------------------|
| Observation     | Does not pose an immediate risk to Food Safety but should be addressed at a later date as a means of continual improvement for the facility. |
| Minor           | Poses as minor risk to Food Safety and should be addressed prior to HACCP certification.                                                     |
| Major           | Poses a major risk to Food Safety and should be addressed prior to HACCP certification.                                                      |
| Non- Compliance | Absent in the facility. Must be addressed in some way prior to HACCP certification                                                           |

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## BUDGET – PROJECT COSTS AND TIMING

The following budgetary estimates align with the HACCP Analysis and Recommendations and why Sprout Kitchen needs to allocate approximately \$758,500 for equipment, leasehold improvements and hiring of a HACCP consultant to prepare a HACCP plan and support with HACCP audit for certification.

**Estimated capital and operating cost changes:** Our HACCP Consultant has assessed a total of \$723,500 in improvements in capital and operating changes, including upgrades to the exterior including paving and security fence, and improvements to the interior including improvements to the processing floor itself, drainage, entry way, staff clothing/change area and staff lunchroom. In addition, the HACCP Consultant has made recommendations on the purchase of a sample fridge, HVAC system, Traceability system, Commissary Connect Shared Use billing and tracking system, security fencing and a new garage door. These capital investments will improve the facility tremendously.

**Costs for HACCP enhancement for standard operating procedures:** Our HACCP Consultant suggests that the Sprout Kitchen budget \$ 25,000 to contract a HACCP Consultant to help write or improve current SOPs and other documentation needed to support a HACCP application. In addition, two additional \$ 5,000 allocations should be made to allow for site prep work pre-audit and for the day of the CFIA HACCP audit so that the HACCP Consultant can be present to assist in the Audit process.

It is also recommended that the cost of contracting a local HACCP Consultant to help in the maintenance of the HACCP certification is critical to the overall success of the facility. We would like to note that the role of HACCP oversight should not be part of the responsibility of the Operating Manager as the two roles conflict in their responsibilities. The ongoing cost of keeping a local HACCP Consultant on retainer could be capped at \$2,000 per month.

**Revenue generation potentials:** We would also suggest an immediate, however slight, increase in base rents for the users of the Sprout Kitchen should be planned as progress is made on the facility improvements.

In addition, every effort should be made to encourage growers and local food manufacturers to participate in an institutional buying program at Sprout Kitchen. We also feel that roundtable discussions between grower groups and institutional buyers can provide opportunities to realize on usage within the food hub facility itself. Prior to the development of roundtable discussion on institutional buying opportunities, we suggest a cautioned approach. *We would strongly encourage a relationship with institutional buyers be established with Sprout Kitchen, and include the need for food safety and handling practices, ensuring that the institutional buyers and restaurants become more exclusive to partner with growers and food manufacturers through Sprout Kitchen's shared use facility.*

**Possible relationships on equipment and costs:** The Consultants also mentioned the possible need for shelf-life testing equipment, and these services could be promoted through the food hub network. As a regional asset, this piece of equipment would add value to the product lines under development at the food hubs.

The Consultants also stated that an automated traceability system, such as Logic-track, can provide a level of confidence in the primary and finished products produced by the users of Sprout Kitchen. There are grants available to help offset these costs. We do want to caution that although these capital assets



have value and would benefit Sprout Kitchen, they do come with the costs to hire and train an operator of the assets. This could be part of the responsibility of the HACCP Consultant as this equipment relates to the overall function of Quality Assurance. Both pieces of equipment come with training opportunities upon purchase.

**Program and service options:** In addition to the leasehold improvements and purchase of capital assets, participants of the Sprout Kitchen stated that improvements to food safety training would be beneficial to the food hub operations. This level of Food Safety Training is already in place and Sprout Kitchen has done a great job at promoting its training program. We would like to recommend that Sprout Kitchen develop partnerships with training providers, industry associations, government agencies that provide training supports and EAS (Employment Assistance Services) to develop innovative training programs. With the growth in usage of virtual training platforms such as zoom, location is not a barrier to innovative training delivery.

## COST/BENEFIT ANALYSIS

In addition to the hiring of a HACCP Consultant to develop and enhance current processes and operating procedures, and to assist in pre-HACCP audit work, the following recommended improvements at Sprout Kitchen are based on the site visit from our HACCP certified auditor. These will greatly improve the potential of becoming a HACCP certified facility (we should note that these investments are not required to begin the process to becoming HACCP certificated as a shared use facility, as the auditor feels the Food Hub can and should start this process immediately):

| Notes                                                             | Costs         | 6 months    | 12 months    | Two Years     | Total         |
|-------------------------------------------------------------------|---------------|-------------|--------------|---------------|---------------|
| A separate fridge to hold samples                                 | \$ 2,500.00   | \$ 2,500.00 |              |               | \$ 2,500.00   |
| Purchase Staff Storage Lockers                                    | \$ 2,000.00   | \$ 2,000.00 |              |               | \$ 2,000.00   |
| Staff Lunch Refrigerator                                          | \$ 2,500.00   | \$ 2,500.00 |              |               | \$ 2,500.00   |
| Washroom Upgrade                                                  | \$ 6,500.00   |             | \$ 6,500.00  |               | \$ 6,500.00   |
| HVAC System                                                       | \$ 70,500.00  |             |              | \$ 70,500.00  | \$ 70,500.00  |
| Concrete Work - \$ 45,000;<br>Flooring (Slop & Drains) \$ 110,000 | \$ 155,000.00 |             |              | \$ 155,000.00 | \$ 155,000.00 |
| Duck cleaning catches                                             | \$ 5,500.00   |             | \$ 5,500.00  |               | \$ 5,500.00   |
| Staff Lunch Room                                                  | \$ 125,000.00 |             |              | \$ 125,000.00 | \$ 125,000.00 |
| Light Coverings                                                   | \$ 3,500.00   | \$ 3,500.00 |              |               | \$ 3,500.00   |
| New Drains                                                        | \$ 43,000.00  |             |              | \$ 43,000.00  | \$ 43,000.00  |
| New Garage Door                                                   | \$ 25,000.00  |             | \$ 25,000.00 |               | \$ 25,000.00  |
| Yard Cleaning and Clearing                                        | \$ 5,000.00   | \$ 5,000.00 |              |               | \$ 5,000.00   |





|                                                                                                        |               |              |              |               |               |
|--------------------------------------------------------------------------------------------------------|---------------|--------------|--------------|---------------|---------------|
| Paving, line Painting, Patching                                                                        | \$ 35,000.00  |              |              | \$ 35,000.00  | \$ 35,000.00  |
| Logic-track Traceability System<br>(there is a grant program to offset cost but should budget without) | \$ 27,000.00  |              | \$ 27,000.00 |               | \$ 27,000.00  |
| Separate Chemical Storage Container                                                                    | \$ 5,000.00   | \$ 5,000.00  |              |               | \$ 5,000.00   |
| Construction of wall partition                                                                         | \$ 45,000.00  |              |              | \$ 45,000.00  | \$ 45,000.00  |
| Security Fencing                                                                                       | \$ 35,000.00  |              |              | \$ 35,000.00  | \$ 35,000.00  |
| Separate Packaging Storage Container                                                                   | \$ 5,500.00   | \$ 5,500.00  |              |               | \$ 5,500.00   |
| Commissary Connect Hardware and Software System Installation                                           | \$ 50,000     | \$ 50,000.00 |              |               | \$ 50,000.00  |
| HACCP Consultant *                                                                                     | \$ 35,000.00  | \$ 35,000.00 |              |               | \$ 35,000.00  |
| Miscellaneous Costs                                                                                    | \$ 75,000.00  | \$ 25,000.00 | \$ 25,000.00 | \$ 25,000.00  | \$ 75,000.00  |
| Total                                                                                                  | \$ 708,500.00 | \$136,000.00 | \$ 89,000.00 | \$ 533,500.00 | \$ 758,500.00 |

\* The estimated cost for a HACCP Consultant to

- develop and enhance current processes and operating procedures \$25,000
- assist in pre-HACCP audit work (2 site visits @ \$5,000 each) \$10,000

|                              |                  |
|------------------------------|------------------|
| <b>Total Estimated costs</b> | <b>\$758,500</b> |
|------------------------------|------------------|

Given that institutional buyers and restaurants are significantly in favour of Sprout Kitchen becoming HACCP certified and given that the current users of Sprout Kitchen do not have the ability to pay for improvements to become a HACCP Certified Shared-Use Facility, the benefits of obtaining HACCP Certification can only be to attract new customers who may wish to supply institutional buyers.

This could begin with growers/primary processors who may wish to package their products into single use packaging at Sprout Kitchen for sale to institutional buyers. By way of primary processors, we recommend receiving and tracing/tracking incoming raw ingredients, grade, chop, wash, dry and package into single use. **This primary processing can attract new users of the Food Hub, including local growers, particularly if institutional buyers state their requirement to partner with Sprout Kitchen members thereby enhancing opportunities within the local supply chain.**



## INDUSTRY ANALYSIS AND POTENTIAL FUNDING SOURCES/PARTNERSHIP OPPORTUNITIES

### Industry Analysis

The December 7, 2022 mandate letter for the Minister of Agriculture and Food outlines priorities for this Ministry which impact the food processing sector and its goal to help British Columbians recover from and respond to upheavals caused by: COVID-19 pandemic, climate related natural disasters, and global inflation. These priorities support opportunities for Indigenous Peoples to be full partners in inclusivity and sustainability.

“Food security – where we get our food, and how much it costs – is front of mind for all British Columbians. Climate change, supply chain issues, and policy changes in places far from B.C. can impact our food supply and costs here at home.”<sup>1</sup>

Key Ministerial priorities in this Mandate Letter relating to food businesses are:

- Adding processing capacity
- Promoting the clean, safe, high-quality food produced in B.C.
- Taking steps to make B.C. a leader in agricultural innovation, resilience, and food security
- Working with Indigenous Peoples on agricultural initiatives identified by them
- Growing our economy by working with partners to increase food processing and food processing innovation in B.C.
- Supporting the work of the Minister of Education and Child Care to integrate Feed BC into expanded school meal programs.

The *Safe for Canadians Regulations* (SFCA) came into force January 15, 2019. It is the responsibility of all food businesses, no matter how large or small, to ensure anyone who is importing, exporting, manufacturing, processing, treating, preserving, grading, packaging, or labelling the food has not compromised food safety.<sup>2</sup>

Roles and responsibilities of a food business that is subject to SFCR are:

- ensuring food prepared domestically, imported, or exported is safe and meets the regulatory requirements
- ensuring food is of a nature, substance and quality that complies with compositional and grade requirements, and
- ensuring food is labelled, advertised and presented in a way that is not false or misleading and meets the regulatory requirements

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<sup>1</sup> Minister of Agriculture and Food Mandate Letter – December 2022

<sup>2</sup> Safe Food for Canadians Handbook: <https://inspection.canada.ca/food-safety-for-industry/toolkit-for-food-businesses/sfcr-handbook-for-food-businesses/eng/1481560206153/1481560532540?chap=0>



Three fundamental new elements of the SFCR which are of particular interest to food businesses are:

- Licensing (CFIA)
- Preventative Controls (Food Safety Controls)
- Traceability (one step forward, one step back)

In the near future, we expect that that food processing businesses, possibly even those selling products at local Farmers' Markets, will need to demonstrate compliance with these regulations.

## Potential Funding Sources/Partnership Opportunities

Opportunity for funding within the AG-food Sector is dynamic. Provincial, Federal and Private funding opportunities are significant. The difficulty is matching program eligibility, purpose, fund availability, and requirements with what is needed to support the efforts of Sprout Kitchen. As an example, the **Province of British Columbia just announced a \$ 20 million Food Processing Growth Fund targeted to food manufacturers, particularly Regional Food Hubs**. Sprout Kitchen qualifies for a significant investment from this fund but needs to write a proposal that can attest to the impact of its investment in value-add manufacturing.

The following are potential funding sources/partnership opportunities that can be found by connecting with the following associations:

- **Investment Agriculture Foundation – Food Processing Growth Fund** - *The Food Processing Growth Fund is a three-year, up to \$20M, program funded by the Government of BC through the Ministry of Agriculture and Food (AF) and delivered by IAF. The objective of the fund is to assist funding recipients in improving their facilities, operations, capacity, and systems to increase productivity and support utilization of BC agricultural inputs. Note: IAF is currently developing a similar program to help businesses with less than \$500K in revenue. We want to support their expansion and growth, and anticipate the fund will open to applications this summer, giving smaller businesses that boost they need to grow.* <https://iafbc.ca/fpg/>
- **BC Food Hub Network** - <https://alpha.gov.bc.ca/gov/content/industry/agriculture-seafood/growbc-feedbc-buybc/bc-food-hub-network> -- *The BC Food Hub Network aims to foster growth and innovation in the processing sector through improved industry access to facilities, equipment, technology, technical services and business supports. The Network is being developed in collaboration with industry, communities and post-secondary institutions to build provincial food and beverage processing while serving the regional and sector diversity of the province.*
  - The BC Food Hub Network has shared an online document of “Potential Grant Funding Programs for Food Processing Hubs and Shared/Commissary Kitchens”. It is expected that this document will continue to be updated as a resource for Food Hubs <https://docs.google.com/document/d/1LMb-EPRCZXMtFO1rt87E22lgwLa2Nn-i/edit#heading=h.td94w27zeeu4>
- **Small Scale Food Processor Association – SSFPA** *is a national trade association of processors, growers, and suppliers of food and agricultural products. SSFPA helps members grow their business and expand local economies.* <https://ssfpa.net/>
  - SSFPA provides leadership, education, marketing, networking, and advocacy to foster



success in a competitive global market.

- The goal of the SSFPA Women's Initiative is to: Provide women with the resources and advocacy to start and scale their businesses and create systems change through federal policy to benefit all small-scale food processors. <https://women.ssfpa.net/>
- **BC Food and Beverage Association** - *Since 2004 BC Food & Beverage has helped shape, support and grow thousands of food & beverage businesses from start-up to multi-national companies. Our job is to engage and help our members in practical and meaningful ways. Our strong network, values-based approach and unparalleled industry expertise allows us to support our members in every stage and area of their business. Our goal is to provide you with the right ingredients for growth.* <https://bcfb.ca/>
  - They partner with **BC Food Connection** through which a Food Hub can be listed in their searchable database <https://bcfoodconnection.ca/> BC Food Connection is an online industry resource to help your business succeed. Our searchable database includes:
    - Tools to find a BC Co-packer (or even a Processor with Excess Capacity).
    - Resources for processors to source BC Agricultural products as ingredient inputs – direct from local farms or through re-packers.
    - Database for small BC processors to find available Commercial and Commissary Kitchens to make your products.
- **Food Processing Skills Canada** - *FPSC is your labour, skills and workforce development non-profit organization. Our job is to provide leadership in professionalizing the food and beverage manufacturing industry so that the most important resource - people - are the best in the world. We have developed a national skills strategy which is a proven long-term approach successfully utilized by other Canadian professional sectors. This strategy builds collaborations with industry, government, academia, unions, associations, community organizations and other stakeholders.* - <https://fpsc-ctac.com/about-fpsc/>
  - Student Work Placement Program – Up to \$7,000 in funding to hire a Post-Secondary Student <https://fpsc-ctac.com/student-workplace-placement-program/>
  - On-Farm Food Safety Program - \$10,000 available to establish or enhance food safety in your British Columbia (BC) On-Farm businesses. <http://bconfarmfoodsafety.com/>
  - Post-Farm Food Safety Program - \$20,000 available to establish or enhance food safety in your British Columbia (BC) business operations. <http://bcpostfarmfoodsafety.com/>
  - For listing of all FPSC programs see website: <https://fpsc-ctac.com/leading-edge-programs/>
- **BC Alliance for Manufacturing Association/Manufacturing BC** - *The Alliance's mission is to promote dialogue and encourage collaboration and joint action amongst a variety of industry stakeholders to ensure a strong and competitive manufacturing sector in BC. The goal is to ensure all British Columbians continue to benefit from the economic growth, high-value outputs and high-paying jobs found across all types of manufacturing in the province.* <https://manufacturingbc.org/>
  - Partner Services - <https://manufacturingbc.org/partner-services/>
- **Feed BC** -- *Feed BC works with institutions, stakeholders and partners across the food service supply chain to increase the use of B.C. foods in B.C. government supported institutions, facilities, programs and services. Feed BC's three inclusive partnership streams enable flexibility to demonstrate partner commitment and support to increasing B.C. foods in ways that best reflect*



*institutional values, priorities, and practices. The Feed BC program includes minimum goals and standards to support B.C. food procurement, B.C. food definitions and targets, B.C. food tracking methodology, and other procurement tools and resources to assist partners with their Feed BC local food work.* <https://www2.gov.bc.ca/gov/content/industry/agriculture-seafood/growbc-feedbc-buybc/feed-bc-and-the-bc-food-hub-network/feed-bc-program>

- Local producers should register their products <https://feedbcdirectory.gov.bc.ca/>
- Information for Institutional partnerships - <https://www2.gov.bc.ca/gov/content/industry/agriculture-seafood/growbc-feedbc-buybc/feed-bc-and-the-bc-food-hub-network/institutional-partnerships>
- **Buy BC** -- *The Buy BC Partnership Program is a fundamental component of Buy BC programming that provides up to \$2 million in cost-shared funding annually to local producers, processors, and associations to support their ability to undertake local marketing activities that increase consumer awareness and sales of local agriculture, food and beverage products. Buy BC is a province-wide marketing program that focuses on building greater consumer awareness, demand and sales of local agriculture, food, and beverage products within British Columbia. The Buy BC logo provides a trusted symbol for consumers to look for and identify fresh, high-quality B.C. products, and encourages them to explore new products from around the province.* <https://www.buybcpartnershipprogram.ca/about/#eligible>
  - Processors can apply for a Buy BC Logo License - <https://buybc.gov.bc.ca/join-buy-bc/producers-processors/>
- **WorkBC** – *WorkBC Centres support you in finding a job and keeping it. Services are available to all unemployed or precariously employed B.C. citizens legally eligible to work in B.C. -* <https://www.workbc.ca/>
  - WorkBC has grants that assist employers with human resource recruitment and training - <https://www.workbc.ca/discover-employment-services>
- Ministry of Agriculture and Food's website for funding sources - The Ministry of Agriculture and Food is responsible for the production, marketing, processing and merchandising of agriculture and seafood products, as well as supporting our province's food security, and developing a resilient food system and economy. <https://www2.gov.bc.ca/gov/content/governments/organizational-structure/ministries-organizations/ministries/agriculture>

***For a more comprehensive list of Ag-food Grants and Contributions, please see attached BC Funding Opportunities Booklet.***



## HACCP CERTIFIED MARKETING, HUMAN RESOURCE, GOVERNANCE, RISKS AND MITIGATION AND IMPLEMENTATION PLANS WITH RATIONALE

### HACCP Certified Marketing

It is recommended that The Food Hub reach out to Food Processing Skills Canada (ask for Jennifer Griffith, Executive Director (613) 237-7988 ext. 225 to begin the HACCP Certification process, including requirements around HACCP labelling and marketing. To better understand the process, the following is what is involved in the HACCP process:

### Canadian Certified HACCP Professional

Certification as a food safety professional garners respect in the food and beverage manufacturing industry. Individuals with this designation are leaders and experts in the field and understand their role is to make certain people are consuming safe food. Employers deeply value individuals who have secured this certification.

If your facility passes, you are then certified as a HACCP facility, which includes use of the following label:



This label represents, to the wider food world, that your facility has been certified as a HACCP accredited facility and been through a food inspection audit by CFIA. You will have to pay an annual fee for the certification ranging from \$ 400 to \$ 3,000 annually, but this depends on the level of inspection and time spent by a representative of CFIA attending to the inspection. To keep your costs low, you should be prepared for the audit in advance. Please remember that this does not include the cost of hiring a HACCP consultant to help you prepare for your HACCP audit, nor the cost of maintaining your facility to maintain your HACCP accreditation.

### Human Resources

We would recommend that you approach the HACCP Certification from a number of different perspectives; particularly as it comes to acquiring sufficient skilled labour to maintain your HACCP accreditation going forward.



First, as you are aware, our HACCP consultant Dan Sigfusson, is available to assist with your HACCP application process. However, there are there number of HACCP consultants available to assist with improvements to key infrastructure requirements to obtain HACCP compliance as set out in this report, including enhancements to SOPs and general operations (check out:

[https://www2.gov.bc.ca/assets/gov/farming-natural-resources-and-industry/agriculture-and-seafood/programs/traceability/choosing\\_consultant.pdf](https://www2.gov.bc.ca/assets/gov/farming-natural-resources-and-industry/agriculture-and-seafood/programs/traceability/choosing_consultant.pdf))

It would also be wise to take advantage of any local food safety asset that may be available on a part time or consultancy basis. It is important to enhance SOPs and improve the overall facility as it relates to food safety, however, having a “local” HACCP consultant would be of real benefit to the overall development of the local food economy. It may be possible to hire a local consultant to work with the HACCP Consultant on setting up and maintaining the HACCP plan while overseeing facility improvements.

It is possible to start off with a HACCP consultant who can help develop systems to meet the HACCP requirements. It is also beneficial to have a local food safety consultant on hand to work with the HACCP consultant as they develop the plan and start to enforce the enhancements. Once the plan is up and going, and a successful HACCP audit has been completed, the local consultant can be contracted to maintain the HACCP plan. When sufficient revenue is obtained, a full time HACCP coordinator would be very beneficial to the facility. It is possible to contract out and partner with food security agencies, users of the food hub wishing to become HACCP compliant, and others to help foster economic development and cover the costs of the HACCP coordinator.

And finally, it’s important to note that the role of a HACCP coordinator cannot be mixed with the role of the operating manager. These two functions do not go together. The purpose of the HACCP coordinator is to develop systems of food security and then to enforce those systems. The role of the operating manager is to sell space within a shared use kitchen and to ensure the customers are satisfied with the overall facilities. These two functions are separate and distinct.

## Governance

To HACCP or not to HACCP? Can you operate a non-HACCP accredited food business inside a HACCP Certificated shared-use kitchen?

Although it is always better to have everyone comply with HACCP certification, it is possible to have a non-HACCP accredited user access the space within a HACCP accredited facility. There are however conditions that must be maintained regardless of users’ level of certification. For instance, procedures around where raw ingredients are to be store and maintained within a HACCP plan must be followed regardless of certification. Additional examples of SOPs that must be maintained within a HACCP kitchen includes what one can and cannot wear when accessing a HACCP facility. i.e., no open toed shoes/sandals or jewelry, hairnets and beard nets must be worn by all, and temperature logs and monitoring procedures must be always maintained.

To help maintain good order, again it is important that the HACCP Coordinator be seen as an enforcer of the rules and requirements for compliance within a HACCP accredited facility. Obviously, there will be some users of the food hub that may not wish to obtain their HACCP certification and therefore may be inconvenienced by the new “Rules” of a HACCP accredited facility. However, these users should be





encouraged to understand why the accreditation will benefit some of the users of the facility and the development of the sector. These inconvenience of some should be looked upon with a reasonable level of concern but a requirement to adhering to the development needs of the sector. Provide as much notice as possible for any changes to the SOPs and operations of the facility, including enhancements to the infrastructure itself.

It may also be beneficial to set up both a safety committee and a HACCP steering committee to allow for a heads-up of what is to come and a mechanism to voice any concerns or raise any compliance issues. Please remember however, you cannot 'half- bake' a HACCP plan - meaning if the facility does obtain HACCP certification, then everyone must follow its enhanced SOPs and operational needs to maintain compliance. You must enforce your rules if you want to obtain this level of certification.

## Risks and Mitigation

The following are the risks associated with setting up a HACCP accredited facility:

- a) **Loss of customers/ users of the facility:** What if the cost to do business at the Food Hub becomes so expensive that small ag-food businesses decide to move their operations and/or close completely?

**Mitigation:** one of the benefits of setting up a food hub is the opportunity to help incubate food businesses within the region. If some of the users of the food hub decided to move into a new facility because they were concerned about the operating costs or regulatory requirements to stay at the food hub, then that is a good thing. You have just incubated a business into commercial space within the region. In addition, if an ag-food business struggles to manage the minimum requirements to access the space, meaning they are not HACCP compliant, then one has to question the viability of that business from the start. To help alleviate the pressure of working within a HACCP accredited facility, review the Governance section of this plan (stated above).

- b) **Cost overruns:** Although this report identifies a budget estimate to help bring the Food Hub up to a higher level of HACCP readiness, there is the possibility of overshooting the budget. With more than three quarters of a million dollars in leasehold improvements and other costs identified, maintaining a budget will be critical to the success of the Food Hub.

**Mitigation:** First we want to recognize that management of Sprout Kitchen and its funding partner the City of Quesnel, has done an excellent job maintaining and controlling cost estimates. To help maintain an infrastructure investment budget, the Consultant has developed a number of steps helpful to maintain the investment budget.

- First, we have factored in a miscellaneous costs estimate of 10% of the overall budget. We would recommend that you hold on to those dollars until close to the end of the project, as you never know what happens when you start to rip up floors or add walls.
- Second, we have developed a budget which allows for an amortization of infrastructure investments, meaning we have developed a schedule for investments in infrastructure based on priority, level of investment and timing. If possible, it would be better to



obtain sufficient dollars to work through the improvements all at once and would hope that this report clearly lays out the need for these investments.

- Third, we have provided a standard bid format called a CCDC. We would encourage you to request all RFP proponents to use this template to propose leasehold improvements as a contract. It is, however, important to state from the onset that no change orders or budget adjustments can be obtained without the express written permission from the funder. We always say to the Project Manager, “This is all the money we have. Please do not ask for more money. You must make this budget work for the taxpayer regardless.”
  - And finally, we have also provided an RFP response evaluation template which may help in the decision-making process for which contractor to hire.
- c) **Compliance issues:** What if there are just so many compliance issues with the users of the food hub that maintaining a HACCP facility just becomes untenable?

**Mitigation:** Maintaining compliance is never easy and it always takes time to get users and workers on side with any new process or procedure. It is however important to note that once you have invested significantly into the overall HACCP readiness of the Food Hub, users must become committed to the regulatory requirements. It may be beneficial to review the requirements for non-HACCP accredited users to ensure they understand the level of expectation and opportunity that a HACCP accreditation will allow the facility to obtain. This is particularly true when accessing local institutional buyers.

- d) **Ongoing issues with the building itself:** What if you spend all this money on the building and there are persistent issues within the building, including the users and owner(s)?

**Mitigation:** The Food Hub should be viewed as a regional asset that may change users and ownership over time. Having a facility that is HACCP compliant can be viewed best as an attractive addition to why investors would want to do business within the region. The facility can convert into a single use and/or be developed as part of a value chain of shared use kitchens within the Province of British Columbia. Users and owners may change hands, but a HACCP Accredited facility only serves to enhance this value food asset itself.

***“I would recommend that Sprout Kitchen work towards becoming a fully certified HACCP accredited facility as this would benefit in the potential relationship with institutional buyers; serve to enhance any skills training offered at the Food Hub; and help potential users looking to grow their customer base. However, I would caution against passing along any of the costs associated with facility improvements and operations to the users. These are small start-ups with limited margins. Instead, I would recommend that Sprout Kitchen focus its efforts on identifying potential grants and contributions to help pay for these leasehold improvements. To place the burden of financing facility improvements on the users of the Sprout Kitchen, given they mostly consist of new ag-food entrepreneurs, would make access and usage of the facility unsustainable.”***



## Implementation Plan

Select a period to highlight at right. A legend describing the charting follows.

| ACTIVITY                                | PLAN START<br>Date | PLAN END<br>DATE | ACTUAL<br>START | DURATION<br>in WKS |
|-----------------------------------------|--------------------|------------------|-----------------|--------------------|
| Start-Up Phase                          |                    |                  |                 |                    |
| Propose Funding                         | 05-Jun-23          | 23-Jun-23        |                 | 3                  |
| Secure Funding* Grant & LOC             | 23-Jun-23          | 21-Jun-23        |                 | 4                  |
| Hire HACCP Consult - Write Plan         | 24-Jun-23          | 25-Aug-23        |                 | 8                  |
| Contact CFIA - HACCP Application        | 21-Aug-23          | 08-Sep-23        |                 | 3                  |
| Complete Pre HACCP Audit                | 08-Sep-23          | 29-Sep-23        |                 | 3                  |
| Pre-HACCP Phase                         |                    |                  |                 |                    |
| Develop RFP & CCDC                      | 23-Jun-23          | 26-Jun-23        |                 | 1                  |
| Construction Bids Sought - RFP          | 26-Jun-23          | 21-Jul-23        |                 | 4                  |
| Hire Project Manager                    | 21-Jul-23          | 28-Jul-23        |                 | 1                  |
| Sign CCDC & RFP                         | 31-Jul-23          | 04-Aug-23        |                 | 1                  |
| Hire General Contractors                | 04-Aug-23          | 11-Aug-23        |                 | 1                  |
| Initial HACCP Phase (6 months)          |                    |                  |                 |                    |
| Modify Operating Site                   | 14-Aug-23          | 25-Aug-23        |                 | 2                  |
| Start Renos/Construction                | 25-Aug-23          | 27-Oct-23        |                 | 10                 |
| Order Additional Equipment              | 25-Aug-23          | 27-Oct-23        |                 | 10                 |
| Reno Warehouse/kitchen                  | 25-Aug-23          | 27-Oct-23        |                 | 10                 |
| Construction Completed                  | 25-Aug-23          | 24-Nov-23        |                 | 13                 |
| HACCP Phase (1 Years)                   |                    |                  |                 |                    |
| Update Annual HACCP Plan                | 27-Nov-23          | 15-Dec-24        |                 | 3                  |
| CFIA Review Site (Pre-Audit)            | 09-Jan-24          | 27-Jan-24        |                 | 3                  |
| Start Renos/Construction                | 27-Jan-24          | 27-Oct-24        |                 | 40                 |
| Commence Full Operations                | 01-Jan-24          | 31-Dec-24        |                 |                    |
| CFIA HACCP Audit                        | 01-Nov-24          | 07-Nov-24        |                 | 1                  |
| Full HACCP Facility Phase (2 - 5 Years) |                    |                  |                 |                    |
| Full Operations                         | 31-Dec-24          | 31-Dec-34        |                 |                    |
| Update Annual HACCP Plan                | 27-Nov-24          | 14-Dec-25        |                 | 2                  |
| CFIA Review Site (Pre-Audit)            | 09-Jan-25          | 27-Jan-25        |                 | 3                  |



|                          |           |           |    |
|--------------------------|-----------|-----------|----|
| Start Renos/Construction | 27-Jan-25 | 27-Oct-25 | 40 |
| Commence Full Operations | 01-Jan-25 | 31-Dec-25 |    |
| CFIA HACCP Audit         | 01-Nov-25 | 07-Nov-25 | 1  |
| Evaluation Phase         |           |           |    |
| Survey Completed         | 04-Oct-25 | 07-Nov-25 | 5  |

(Note: See Gantt Chart and Implementation Plan in the Appendix Section)

## ADJUSTED OPERATIONS BUDGET FOLLOWING EACH PHASE OF IMPLEMENTATION

| Notes                                                                                                  | Costs        | 6 months   | 12 months   | Two Years    | Total        |
|--------------------------------------------------------------------------------------------------------|--------------|------------|-------------|--------------|--------------|
| A separate fridge to hold samples                                                                      | \$2,500.00   | \$2,500.00 |             |              | \$2,500.00   |
| Purchase Staff Storage Lockers                                                                         | \$2,000.00   | \$2,000.00 |             |              | \$2,000.00   |
| Staff Lunch Refrigerator                                                                               | \$2,500.00   | \$2,500.00 |             |              | \$2,500.00   |
| Washroom Upgrade                                                                                       | \$6,500.00   |            | \$6,500.00  |              | \$6,500.00   |
| HVAC System                                                                                            | \$70,500.00  |            |             | \$70,500.00  | \$70,500.00  |
| Concrete Work - \$ 45,000;<br>Flooring (Slop & Drains) - \$ 110,000                                    | \$155,000.00 |            |             | \$155,000.00 | \$155,000.00 |
| Duct cleaning catches                                                                                  | \$5,500.00   |            | \$5,500.00  |              | \$5,500.00   |
| Staff Lunch Room                                                                                       | \$125,000.00 |            |             | \$125,000.00 | \$125,000.00 |
| Light Coverings                                                                                        | \$3,500.00   | \$3,500.00 |             |              | \$3,500.00   |
| New Drains                                                                                             | \$43,000.00  |            |             | \$43,000.00  | \$43,000.00  |
| New Garage Door                                                                                        | \$25,000.00  |            | \$25,000.00 |              | \$25,000.00  |
| Yard Cleaning and Clearing                                                                             | \$5,000.00   | \$5,000.00 |             |              | \$5,000.00   |
| Paving, Line Painting, Patching                                                                        | \$35,000.00  |            |             | \$35,000.00  | \$35,000.00  |
| Logic-track Traceability System<br>(there is a grant program to offset cost but should budget without) | \$27,000.00  |            | \$27,000.00 |              | \$27,000.00  |
| Separate Chemical Storage Container                                                                    | \$5,000.00   | \$5,000.00 |             |              | \$5,000.00   |
| Construction of wall partition                                                                         | \$45,000.00  |            |             | \$45,000.00  | \$45,000.00  |
| Security Fencing                                                                                       | \$35,000.00  |            |             | \$35,000.00  | \$35,000.00  |
| Separate Packaging Storage Container                                                                   | \$5,500.00   | \$5,500.00 |             |              | \$5,500.00   |



|                                                                                     |                     |                     |                    |                     |                      |
|-------------------------------------------------------------------------------------|---------------------|---------------------|--------------------|---------------------|----------------------|
| HACCP Consultant                                                                    | \$35,000.00         | \$35,000.00         |                    |                     | \$35,000.00          |
| Purchase & install Commissary Connect hardware and software billing and user system | \$50,000.00         | \$50,000.00         |                    |                     | \$50,000.00          |
| Miscellaneous Costs                                                                 | \$75,000.00         | \$25,000.00         | \$25,000.00        | \$25,000.00         | \$75,000.00          |
| <b>Total</b>                                                                        | <b>\$758,500.00</b> | <b>\$136,000.00</b> | <b>\$89,000.00</b> | <b>\$533,500.00</b> | <b>\$ 758,500.00</b> |

We would like to note that there may be a need for a local HACCP consultant to be retained, with an operational budget impact of \$ 24,000 annually (\$2,000 per month) and an ongoing HACCP certification fee of approximately \$3,500 annually. Total operational impact, excluding increases in minor incidentals, such as an increased use of hair nets and gloves, of \$ 27,500 per year.

After initial installation and start-up, *Commissary Connect's Billings and User System* will have an annual licensing fee based on user and equipment complexity. The cost of this annual license cannot be determined at this time but may be between \$10,000 and \$15,000 annually. (Costs may vary)

## LIST OF RESOURCES FOR ADDITIONAL CERTIFICATIONS THAT POTENTIAL USSERS MAY PURSUE INCLUDING HACCP

Resources: Certifications for Potential Food Hub Users

*This list is for resource information only. We do not endorse one training provider over another.*

### Food Safety Certifications

#### Federally Inspected

The *Canadian Food Inspection Agency (CFIA)* enforces federal food safety regulations for both domestic and imported food. Products have been approved under the *Safe Food for Canadians Regulations (SFCR)* and are approved to be sold both within and outside B.C. (INTER-Provincially).

- <https://inspection.canada.ca/eng/1297964599443/1297965645317>

#### Provincially Inspected

Products and production facilities are approved by the local health authority and/or Ministry of Agriculture, Food and Fisheries, and may be sold within the province of B.C. (INTRA-Provincially).

- Regional Health Authorities - <https://www2.gov.bc.ca/gov/content/health/about-bc-s-health-care-system/partners/health-authorities/regional-health-authorities>
- Northern Health - <https://www.northernhealth.ca/services/environmental-health/food/food-facilities>
- Northern Health - Temporary Food Permits and Markets - <https://www.northernhealth.ca/services/environmental-health/food/temporary-food-permits-and-markets>



- Ministry of Agriculture, Food and Fisheries - <https://www2.gov.bc.ca/gov/content/governments/organizational-structure/ministries-organizations/ministries/agriculture>

## HACCP

*Hazard Analysis Critical Control Points (HACCP) is a step-by-step food safety system and certification for food processing facilities and businesses to identify, control, and prevent hazards during food production.*

- Government of Canada – Food Safety Enhancement Program – Safe Food for Canadians Regulations - <https://inspection.canada.ca/preventive-controls/preventive-control-plans/the-food-safety-enhancement-program/eng/1525869691902/1525869759693>
- Small Scale Food Processors Association - <https://ssfpa.net/courses-2/>
- HACCP Canada - <https://www.haccpcanada.net/>
- Canadian Food Safety Group - <https://canadianfoodsafety.com/courses/haccp-certification/>
- BCIT - <https://www.bcit.ca/programs/food-safety-preventive-controls-and-haccp-plans-microcredential-part-time-0822cm/>
- Food Processing Skills Canada – Canadian Certified HACCP Professional - <https://fpssc-tac.com/canadian-certified-haccp-professional/>

## Canada GAP

*A national Good Agricultural Practices food safety program and certification that sets standards for businesses that produce, handle and broker fruits and vegetables and is audited by a licensed third-party certification body. The standard and certification program is owned and administered by CanAgPlus, a Canadian not-for-profit corporation, and is recognized by the Global Food Safety Initiative (GFSI).*

- Canada GAP Program - <https://www.canadagap.ca/certification/>

## Global GAP

*A widely requested, globally recognized Good Agricultural Practices certification for primary agricultural producers (including crops, livestock, and aquaculture) to set up and maintain systems that meet safety and sustainability standards. Audited by a licensed third-party certification body. Enables companies to meet distributors' requirements in terms of quality, food safety and environmental practices.*

- Global G.A.P. - [https://www.globalgap.org/uk\\_en/what-we-do/globalg.a.p.-certification/](https://www.globalgap.org/uk_en/what-we-do/globalg.a.p.-certification/)

## NSF (National Sanitation Foundation)

*A certification for businesses by the accredited National Sanitation Foundation (NSF) organization for compliance with strict safety and operational standards through ongoing product and worksite inspections. Safe Quality Food (SQF) is one standard specific to food, and one of the many certifications that NSF includes.*

- NSF Canada AG - <https://www.nsfcanda.ca/certification-auditing/>
- NSF Canada AG – Label Certifications - <https://www.nsfcanda.ca/certification-auditing/label-claim-certifications/>

## SQF (Safe Quality Food)



*Safe Quality Food (SQF) is a globally recognized food safety certification from the Global Food Safety Initiative (GFSI) that covers all stages of the food supply chain ranging from primary production through to food manufacturing, distribution, food packaging and retail. The Safe Quality Food (SQF) Program is a rigorous and credible food safety and quality program that is recognized by retailers, brand owners, and food service providers world-wide.*

- NSF Services in Canada - <https://www.nsfcanada.ca/certification-auditing/gfsi-certification/>

### **Food Safe**

- Government of BC - Food Safe - Level 1 and 2, Market Safe, Process Safe, Food Microbiology - <https://www.foodsafe.ca/courses.html>
- BCIT – Food Safety Associate Certificate - [https://www.bcit.ca/programs/food-safety-associate-certificate-part-time-6365acert/?gclid=EAIaIQobChMIxNq-rY6M\\_wlVnQ6tBh31ug1GEAMYAiAAEgKVGPD\\_BwE&gclsrc=aw.ds](https://www.bcit.ca/programs/food-safety-associate-certificate-part-time-6365acert/?gclid=EAIaIQobChMIxNq-rY6M_wlVnQ6tBh31ug1GEAMYAiAAEgKVGPD_BwE&gclsrc=aw.ds)

### **WHMIS**

- OH&S Training Providers – Cariboo Chicoltin - <http://www.ohstrainingbc.com/home/cariboochilcotin/results/?topics=WHMIS+Education+%28Awareness%29&frm-page-1035=1>
- Online WHMIS.ca - <https://onlinewhmis.ca/bc-whmis-training/>
- UBC Online Training - <https://srs.ubc.ca/training/research-safety-training-courses/whmis-training/>

### **Serving It Right**

- Government of BC – Responsible Service BC – Serving it Right, Special Event Server, Selling it Right <https://www.responsibleservicebc.gov.bc.ca/serving-it-right-course>

## **Additional Certifications**

### **Certified Organic**

*Organic certification that ensures the integrity of organic products from field to table, and determines the basic requirements for organic food production systems. Certification of organic farms is carried out by third-party certification bodies which have been approved by the Canadian Food Inspection Agency (CFIA).*

- Organic BC - <https://organicbc.org/certification/>
- Organic BC Certification Bodies - <https://organicbc.org/certification/find-a-certification-body/>

### **Buy BC**

*A province-wide marketing program to promote B.C. food and beverages to ensure consumers can easily identify and enjoy local food products. Businesses that produce or process food or beverage products in B.C. are eligible to apply to use the Buy BC logo for their product packaging.*

- Buy BC Logo Licence - <https://buybc.gov.bc.ca/join-buy-bc/producers-processors/>

### **BC VQA**

*BC Vintners Quality Alliance: The appellation of origin and quality standard for B.C. Wine. BC VQA certified wines must meet standards with respect to their origin, vintage, varietals, packaging,*





*and quality; they must be assessed by a qualified panel and meet the criteria for quality characteristics.*

- Government of BC – Wines of Marked Quality Regulation - [https://www.bclaws.gov.bc.ca/civix/document/id/complete/statreg/168\\_2018/search/CIVIX\\_DOCUMENT\\_ROOT\\_STEM:\(Wines%20of%20marked%20quality\)?2](https://www.bclaws.gov.bc.ca/civix/document/id/complete/statreg/168_2018/search/CIVIX_DOCUMENT_ROOT_STEM:(Wines%20of%20marked%20quality)?2)
- Wines of British Columbia - Wines of BC Ambassador Program <https://winebc.com/industry/level-one/>
- British Columbia Wine Authority – Rules Concerning First Level Certification of Laboratories - <https://bcvqa.ca/wp-content/uploads/2022/03/2019-Laboratory-First-level-Rules.pdf>

### **Ocean Wise**

*A sustainable seafood certification that provides rankings for species by assessing the impacts of seafood's product on aquatic organisms and ecosystems.*

- Government of BC – Seafood Stewardship Certifications - <https://www2.gov.bc.ca/gov/content/industry/agriculture-seafood/fisheries-and-aquaculture/sustainable-seafood/seafood-stewardship-certifications>

### **Marine Stewardship Council**

*As a global non-profit, Marine Stewardship Council (MSC) provides a third-party sustainable fisheries certification. Three main principles must be met to achieve certification: Sustainable fish stock harvesting, minimizing environmental impact, and effective management of sustainable fishing practices.*

- Marine Stewardship Council – Fishery Certification - <https://www.msc.org/for-business/fisheries/fishery-certification-guide>

### **GS1**

*An organization that develops and maintains global standards for product barcodes, identification numbers, and other services that enable product and traceability information to be shared between businesses.*

- GS1 Canada - Product Certification - <https://gs1ca.org/product-certification/>

### **ECC Net**

*ECCnet Registry is Canada's largest national product registry, allowing data providers (such as manufacturers, brand owners, distributors and suppliers) to seamlessly share the most accurate and up-to-date product data with trading partners and other data recipients (such as retailers, healthcare providers, foodservice operators and other end users). A service offered by GS1 Canada, it is a central, online, searchable database of accurate location information including Global Location Numbers (GLNs) and company and product related details.*

- ECC Net Registry - <https://gs1ca.org/new-item-setup/eccnet-registry/>

## **Dietary Preference Certifications**

### **Vegan**

*Contains no animal or animal-derived product or ingredients including honey, dairy, eggs, fish, shellfish, and insects.*

- ACS Canada and CanadaCERTS - <https://canadacerts.ca/standard/vegan/>



### Gluten Free

*The Gluten-Free Certification Organization (GFCO) uses quality assessment and control measures to assure consumers that their food is safe within North America. Certification involves risk assessments, plant audits and equipment and product testing, both at the plant and at the point of consumer purchase. Finished products bearing the GFCO logo must contain 10 ppm or less of gluten.*

- Celiac Canada - <https://www.celiac.ca/living-gluten-free/gluten-free-certification-program/>
- Gluten Free Certification Organization – Auburn, WA - <https://gfco.org/>

### Non-GMO

*To claim to be a "non-genetically modified food (non-GMO) product", all ingredients in the food product must be ensured to be not genetically modified or engineered.*

- CanadaCERTS – Non-GMO Certification - <https://canadacerts.ca/standard/non-gmo/>

### Plant Based

*Products derived from plants.*

- Plant Based Foods of Canada - <https://www.plantbasedfoodscanada.ca/certification>

### No Added Sugars

*Food that contains no added sugars. Foods must not contain ingredients that contain added sugar, or added sugar substitutes.*

- CanadaCERTS – Sugar-Free Certification - <https://canadacerts.ca/standard/sugar-free/>

### Free of Common Allergens

*Food that contains none of the following common allergens: Peanuts, tree nuts, sesame seeds, milk, eggs, fish, crustaceans, molluscs, soy, wheat, triticale, sulphites, and mustard.*

- Canadian Institute of Food Safety - <https://www.foodsafety.ca/>
- SafeCheck Food Allergen Awareness Certificate – Food Processing Allergy Training - <https://www.safecheck1.com/product/faa-p-food-allergen-for-food-processing/>
- Food Allergy Canada – Resources and Tools - <https://allergiesalimentairescanada.com/professional-resources/educators/post-secondary/resources-and-tools/>

### Kosher

*Kosher approval by a rabbinic Agency verifying they have checked the products ingredients, production facility and actual production to ensure all ingredients, derivatives, tools and machinery have no trace of non-kosher substances.*

- BC Kosher, Vancouver BC - <http://bckosher.org/>

### Halal

*Halal certification is a process in which a legitimate, qualified, and neutral entity inspects the substance in question, verifies that it was manufactured in compliance with halal requirements, and issues an official document as a result. Allows Muslim consumers to be confident that the products they use are in alignment with their culture and beliefs, and the product is permissible or acceptable in accordance with Islamic law.*

- Halal Monitoring Authority Canada - <https://hmacanada.org/get-certified/>



- Canadian Halal Food Certifying Agency - <https://www.chfcahalal.com/> This site includes 7 principles of Haraam Hazard Analysis Critical Control Point (HHACCP)
- Halal Inspections and Certification Canada, Richmond BC - <https://hiccanada.ca/certification-process/>

## SAMPLE TEMPLATE AGREEMENTS FOR GENERAL CONTRACTOR – RFP AND CCDC

See Appendix Section

## APPENDICES



HACCP Consultant Evaluation and Recommendation Report

April 25, 2023 User Group Consultation Notes

April 25, 2023 Community Group Consultation Notes

April 26, 2023 User Group Consultation Notes

CCFC 2 City of Quesnel Draft Template

Evaluation Criteria Project Management Sample

2022-2023 Funding Opportunities for British Columbian Agriculture and Agri-Food Producers, Processors, Innovators and Associations

Gantt Chart and Implementation Plan





## APPENDIX

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**April 25, 2023 – 10:00 to 12:00**

### **Notes from User/Potential User Consultation**

*Re: Hazard Analysis and Critical Control Points Certification Business Case and Implementation Plan  
for Sprout Kitchen Food Hub and Small Business Incubator*

#### **Present:**

- Stephen Evans, Pia Ritch, Dan Sigfusson – Consultants
- Amy Reid - Manager of Economic Development & Tourism. City of Quesnel - [areid@quesnel.ca](mailto:areid@quesnel.ca)
- Kate Patterson – S.K. Food Hub Manager - [sproutkitchenhub@gmail.com](mailto:sproutkitchenhub@gmail.com)
- J & R - Potential Food Hub Members
- JR – Canadian Mental Health Association (CMHA) – Food Hub Member and Quesnel Community Food Coordinator - [jenniferr@cmhanorthernbc.ca](mailto:jenniferr@cmhanorthernbc.ca)

Meeting was facilitated by Stephen Evans

#### **Roundtable Introductions: Stephen**

- Stephen, Pia and Dan - consultants
- J & R knows about HACCP and taught entry level training and job transitioning for HACCP Technicians in Vancouver – around 2013
- JR has an interest in Holistic nutrition – member at S.K. with goal for more healthy food and workshops in the Community – has been in position for about 7 months
- Kate Patterson – Mgr. of Food Hub – in this position for 1.5 years – food hub opened a couple of months ago – her family has farm and they hope to do processing
- Amy – Mgr. of Econ Dev and Tourism – City of Quesnel received funding from Province and Northern Development Commission Trust \$\$ for the Food Hub – she has been working on this for over 5 years
- J & R (partners) – They have their own farm and grow a lot of their products. Entry level food safety course

Stephen commented that there is a perception that certifications are daunting. In his experience certifications are the base foundation with an expectation that there is a commitment to doing continuous improvement.

#### **Where is everyone at in their food processing?**

J & R (Current processors and potential users of S.K.)

- Currently they are making pickles, jams for Farmers' markets
- As they are retired and downsized their home kitchen, they don't know if they want to move forward with this business as it means deciding on production space
- Finished Food Safe 2
- J & R has background in food safety training programs
- In processing/production, they want to make sure that they are doing everything right
- Looking at S.K. as option for processing
- What skills do they need to use the kitchen?



- Q: Is there a plan to sell business? They had a couple of stores interested in product. Sons may be interested, but are currently working and not able to take over full-time
- Goal: Would like to take recipes and develop food safety plans for recipes
- J & R: S.K. is a necessary resource to help ensure food security in the community
- Stephen provided definition of Food Security vs Food independence
- They buy ingredients locally and grow some for their processed products

Kate (Farmer and S.K. member – ‘Grain-ola’ Producer)

- Cannot supply bulk farm sales at this point
- Guessing at how much to grow
- Soil is challenging and the farm needs to purchase compost from Cache Creek
- Products – salad greens, heirloom and cherry tomatoes, carrots, radishes, cucumber – could grow and sell more
- Potentially they could partner with other farmers

[Growing business at Quesnel food hub - Quesnel Cariboo Observer \(quesnelobserver.com- Oct 27, 2022\)](#) Currently, the Sprout Kitchen is used full-time for producing and packaging handmade baked crackers by Hixon Falls Company and gluten-free and plant-based baking mixes by Melissa’s Klassy Kitchen.

*It is also utilized by the Quesnel GreenHope Society, which operates a food rescue diverting edible food from grocery stores destined for the landfill to families and people in need.*

*This past summer, Patterson teamed up with kitchen assistant Jamie Loewen to launch Spent Grain-ola, which is made from the grain left over at the end of the brewing process and is sourced from local brewery Barkerville Brewing Co.*

*“It just helps spread awareness of the kitchen and hopefully gives people ideas about what they could do,” Loewen said.*

CMHA – Looking at food security for the local community

*May 2021 Quesnel is set to receive a \$50,000 grant from a Union of BC Municipalities (UBCM) poverty reduction program to set up a food redistribution network. Mayor Bob Simpson said the city partnered with the Canadian Mental Health Association to bring the project forward.*

*“This Food Redistribution Network will increase local food security and will help shift the community away from an emergency-based charity model to one that is empowering, community driven and sustainable; all while reducing food waste,” he said in a news release. “It was apparent after the CMHA conducted the Quesnel Community Food System Assessment that the community is in need of this project.”*

[Food security network coming to Quesnel thanks to \\$50K provincial grant - Quesnel Cariboo Observer \(quesnelobserver.com\)](#)

*More info on what CMHA does:* [New mental health, food security programs being offered in Quesnel - Quesnel Cariboo Observer \(quesnelobserver.com\)](#)

- As an agency they have money for purchasing
- They are looking for ideas for social enterprise to raise funds to help support food supply at low cost
- CMHA is not a food bank – model working to food bank style @ low cost





- Currently Salvation Army is local food bank, but they are in the process of moving out of Quesnel and CMHA and GreenHope Society are contending for Food Bank funding in Quesnel ([Food rescue combating waste and hunger in Quesnel - Quesnel Cariboo Observer \(quesnelobserver.com\)](http://quesnelobserver.com))
- Cannot sell food – if sell, then not covered under Good Samaritan Act
  - Looking at membership model
- CMHA has food security advisory group with local food providers (Food Security Network)
- Offer monthly food produce box, which is sponsored, promoting buy local and support local
- Clients do not need proof of income – referral based
- Long Table Groceries – providing boxes; bringing in produce – CMHA taking over services in June
- Can S.K. food hub connect you with buyers or customers? Yes
  - Food Hub coolers/freezer/ -- not fully utilized at S.K.
  - Partnerships with other commercial kitchens are possible
  - 18 food hubs in the network
- Can the food hub help with packaging and labelling – yes

#### Tracking and Testing:

- Currently tracking traceability in Excel for granola
- They are tracking where ingredients are coming from – start to finish
- How much testing is done? Minimal Testing ingredients, i.e. acid level
- Tracking is needed for 'recall'
- Q: re: Traceability system – is currently simplified
- Need for help in
  - Recipe costing
  - Nutrition labels

#### Barriers:

- Challenge for S.K. growth – capacity – staffing
  - Possibly partners can do some of these jobs – driving
  - Non-profits have volunteer base
  - Requests are coming in to use van
- J & R need to make decision on how far they want to go with their business – currently their goal is food safety plan for their recipes
- Is financing a challenge – Yes. Partner with Community Futures for training and financing/ financial advice
  - Financial issues
- Being overwhelmed
- Nutrition labelling
- Packaging

Stephen shared: Women in business – 97% male; 3% women – SSFPA has contract to determine and assist in reducing barriers for investment for women in ag-food – Stephen will share SSFPA info

#### What is HACCP – Overview of 7 Step Process?

1. Hazard Analysis - Looking for food safety risks to business – chemical, biological, physical
2. Determine critical control points – addressing the hazard which is **critical** to food processing
3. Establishing critical limits – i.e. what are the critical limits on each critical control point





4. Monitoring procedures - maintain food safety record; monitor equipment; validate program i.e. hairnets; washing and sanitation
  5. Corrective actions - how the corrective action should respond to food safety issues; i.e. training; systems in place, Standard Operating Procedures (SOP) for corrective actions
  6. Verification procedures – procedures that are put in place and actions which should be done
  7. Record keeping – ‘do what you say and say what you do’ – requires documentation i.e. bathroom cleaning logs; visitor sign-in log and verification
    - a. If something missed – correct it
- SSFPA has SOPs tying into HACCP plans and training
  - Growers should get Canada GAP

#### **How to get connected with BC foods – Resource Information**

- Food Processing Skills Canada – Jennifer Griffith – Ottawa – working with large producers – FPSC has awesome library
- BC Food Processors – larger BC Food processors – mostly event planning
- Small Scale Food Processors Association – Candice Appleby
  - Training
  - Canada postal program
  - Insurance program for small producers
  - Processor funding programs i.e. Status of Women
- BC Manufacturing Alliance
- Buy BC Food and Drink app – ‘Amazon for food’
- FeedBC app – connect with institutional buyers
- BC Food Cooperative Association - Cooperative growth of combined selling



## APPENDIX

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**April 25, 2023 – 3:30 to 4:30**

**Notes from Community Group Consultation**

*Re: Hazard Analysis and Critical Control Points Certification Business Case and Implementation Plan  
for Sprout Kitchen Food Hub and Small Business Incubator*

This meeting was part of an Open House/Community Tour and roundtable discussion organized by Regional Manager, Cariboo Region, Ministry of Jobs, Economic Development and Innovation on the 'opportunities and desires for Indigenous economic and social development on food issues in the community'.

**Present:**

- Regional Manager, Cariboo Region, Ministry of Jobs, Economic Development and Innovation
- Ex-Mayor/Consultant
- Community Futures Quesnel
- CMHA
- College of New Caledonia
- Sprout Kitchen Marketing
- Sprout Kitchen Food Hub Manager
- ED Literacy Quesnel
- EDO City of Quesnel
- Cariboo Regional District – Economic and Community Development
- Regional Agrologist - Quesnel
- Long Table Grocery
- Stephen Evans, Pia Ritch, Dan Sigfusson - Consultants

**First impressions of Sprout Kitchen** – The participants had a tour of S.K. Food Hub and asked questions. Then at the meeting they were asked for their first impressions.

- Impressed with how busy it was
- Cooperative opportunity for food producers
- Liked potential of distribution delivery hub
- Networking with other providers
- How do indigenous peoples use S.K. for catering events – frozen meals for indigenous foods
- A lot of people do not know about S.K.
- Interest in processing and co-packing
- Challenges in marketing services of S.K.
- Literacy Quesnel was interested in bringing in new Canadians for a tour

**Food Distribution/Delivery Vehicle**

- Working on getting the word out – eta start-up Spring 2023
- Determine use/need of vehicle for planning purposes
- Considering Co-transportation along with Granola distribution
- Foods produced elsewhere could be transported – eventually used for members
- Van could be used for food rescue
- There is funding coverage from Province to cover shortfall for 1<sup>st</sup> year



- S.K. provides the driver for the van as part of their services
- There is no short-haul courier with refrigeration in this area
- Potential for Indigenous use of refrigeration truck for their economic development opportunities and cold / freezer storage
- Nazco Reserve – has greenhouse for seedlings which could be transported to homes/farms for raised garden beds

#### **Funding Opportunities Available**

- Rural Economic diversification and Infrastructure program (June)
- Telus (\$50,000) for indigenous-led initiatives to non-profits, indigenous organizations and community groups
- Indigenous food system and agriculture partnership program (IFSAP)
- Community Workforce Response Grant program – Indigenous workforce training
- Non-Profit Funding Guidelines – get document from Community Futures

Local Indigenous communities have active cultural food preservation – herbs, teas, cannabis, cheese, which can be developed and marketed

Stephen Evans comments:

- Food Hub is an Ag-Tech centre
- Viability is important
- Provincial definition of food security and food independence is being developed
- Circulated: Stats Canada top 10 change in food prices
- Minister's Mandate letter including indigenous foods
- Federal 'funding opportunities in food' – Stephen to send to Amy
- BC Coop Association
- Workforce Inclusion Social Enterprise
- Stephen shared Mission's "Strategy for Food Security"
  - Vertical Farm Food Security Cooperative
  - Community Investment Cooperative – equity investments in Food processors
  - Bulk Buying Food Cooperative\
  - Regenerative training farm Cooperative (not turning over soil) -- African food

Comments: Cariboo Regional District Agricultural Food Plan

- Have shared food hub information at all meetings as an asset for community events
- How can it be promoted more? i.e.
  - stickers on products
  - member profiles on social media
  - Example: North East Alberta Food Marketers Association – create a map of other rural and remote producers in area)
  - participate in BuyBC Food and Drink
  - Northern BC Grocery Marketing Alliance (tie in with delivery van)



## APPENDIX

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**April 26, 2023 – 1:30 to 3:30**

### **Notes from User/Potential User Consultation**

*Re: Hazard Analysis and Critical Control Points Certification Business Case and Implementation Plan  
for Sprout Kitchen Food Hub and Small Business Incubator*

Present:

- Stephen Evans, Pia Ritch, Dan Sigfusson – Consultants
- Amy Reid - Manager of Economic Development & Tourism. City of Quesnel - [areid@quesnel.ca](mailto:areid@quesnel.ca)
- S.K. Food Hub Manager - [sproutkitchenhub@gmail.com](mailto:sproutkitchenhub@gmail.com)
- Market farmer & Farmers' Market retailer for 15 years

Meeting was facilitated by Stephen Evans

### **Roundtable Introductions: Stephen**

#### **Market Farmer**

- Retired (ex. pulp mill worker for 33 years)
- Involved with Farmers' Market for 15 years
- Provides services for Pig Roast on weekends
- Retired into gardening
- Grows garlic – 6 or 7 varieties – 300 pounds/9000 plants annually
- Product for producing: Honey garlic syrup (honey and apple cider vinegar from Costco) – Test selling his product for \$20/bottle
- Also dehydrates into garlic powder
- Grows turkeys and chicken
- Problem getting bottles – looking for Canadian supplier for bottles
- It was suggested he should ask SSFPA for resources for bottles

#### **How can the food hub help your business?**

- Production could be done at Food Hub
- Has OK from health inspector – gave recipe i.e. garlic, water, apple cider vinegar and honey with permission to produce at a certified facility
- Will sell syrup at local Farmers' market – he has not thought about selling at grocery stores
- Next step is that he needs to research shelf life
- 1 batch = 4.5 litres of product
- Currently uses own garlic for his production with a possibility of purchasing from others
- Garlic festivals – he does not want to go to ex-provincial markets
- Needs to develop label and has already connected with S.K for this
- Workers – he is a one-person producer and grower
- Does he have preference to buy local? – yes, but local honey is too expensive
- Tracing/Tracking ingredients - how does he do this?
  - Currently buys at Costco – which is traceable
  - Well water is tested once a year
  - Traceability workshop interest? – yes he would attend



- No interest in using van for distribution at this time
- Financing - how will he finance?
  - Initially self-finance
- Equipment -
  - S.K. has garlic peeler which can be rented on a daily basis
- Marketing
  - He feels comfortable selling his products
  - Hasn't thought of promo videos
  - To sell at Farmers' Markets you must be a people-person and he has no problem with this due to his Roasted Pig business
- Future – is there any chance of it going bigger over time
  - Not at this point
- Aging out – have you thought about what you are going to do with your product?
  - Not really – adult children are all well-established; daughter can run the farm herself and loves working on the farm
- Regulations
  - Provincial water licence – changes to Water Act 2017
  - Form completion was difficult and took 5 years to complete
  - 1 licence for market garden and 1 licence for poultry
  - Cannot have same spot for manure for 2 years
- Paperwork and Technology
  - Someone could help with paperwork would be beneficial
  - For Farmers' Markets the paperwork is minimal, but moving forward from this would be too much paperwork – this could possibly be a help from S.K. consultant
- What would be the deciding factor for 'growing' the syrup product? – A: Demand

**Resources:**

Farmed.ca

North Cariboo Food brand

- Farm Gate sign; Farmers' Market